Pillar#1C2: Equities- Shares / SENSEX / Mutual Fund/ etc.

I've split 1C HDTs in 3 parts for more efficiency in revision for learners.

1C1	Debt Instruments, Bonds, IIB, SGB; Market Types, etc.
1C2	Equity Instruments, Shares, IPO, DEMAT, SENSEX, MF, F&O etc.
1C3	Orgs & Laws related to Sharemarket- SEBI, CSR etc.

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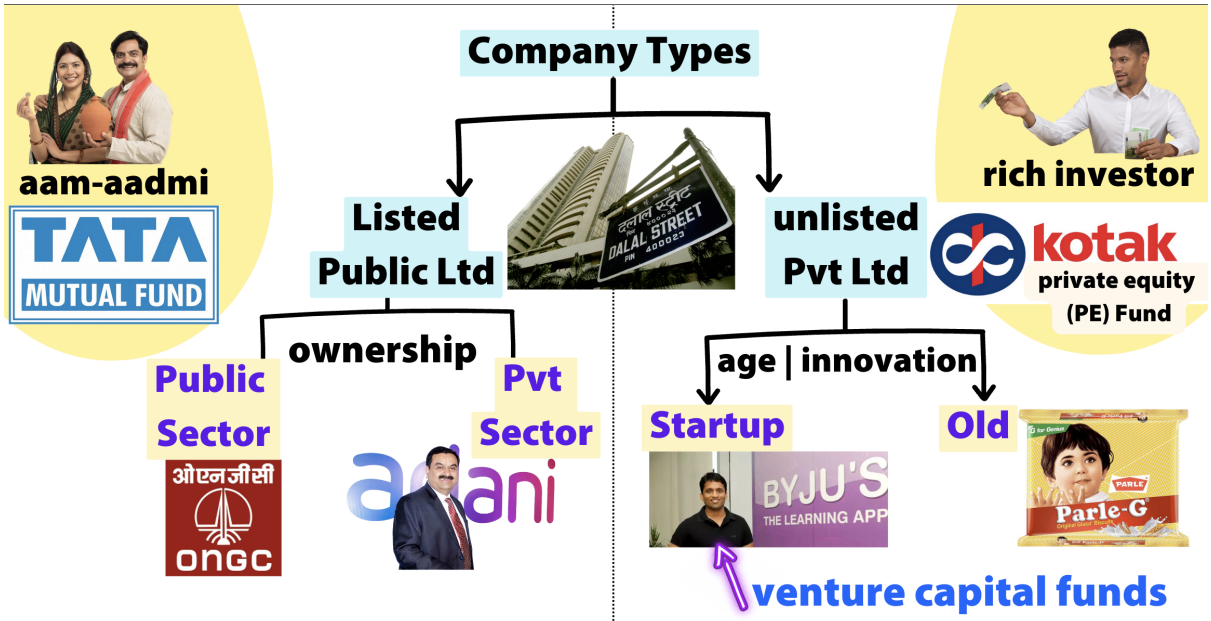
16 🐷📈🐻 EQUITY INSTRUMENTS (इक्विटी)



⇒ Equity holders are called owners / proprietors of the company.

⇒ If company makes profit → they get dividend. They've last claim during liquidation.

16.11.1 👩📦 Private equity (PE) funds and Venture Capital Funds

- Private equity is a type of investment fund where wealthy individuals park their money into private unlisted companies.
- Unlisted companies = whose shares are not traded in the stock exchange like BSE/NSE) e.g. Byjus, Parle (1929).
- Venture capital fund (VCF) is a subtype of PE fund - which invests in startup companies.

Keywords	Features
Venture Capital Funds	VCF are professional firms helping startup companies with seed capital. (could be debt / equity / hybrid) (स्टार्टअप कंपनियों को शुरुआती पूंजी दिलवाते हैं)
Angel Investors एंजल निवेशक	Rich person helping startup companies out of his hobby, passion, profit motive or time pass. e.g Ratan Tata in Urban Ladder app. (could be debt / equity / hybrid). *Related topic: Pillar#2: Angel Tax in Budget/blackmoney*
Corporate Strategic Investor	Invests in startup company with goal of acquiring the company or its technology at later date. स्टार्टअप कंपनी में निवेश करता है ताकि भविष्य में उसकी टेक्नोलॉजी पर कब्जा कर सके

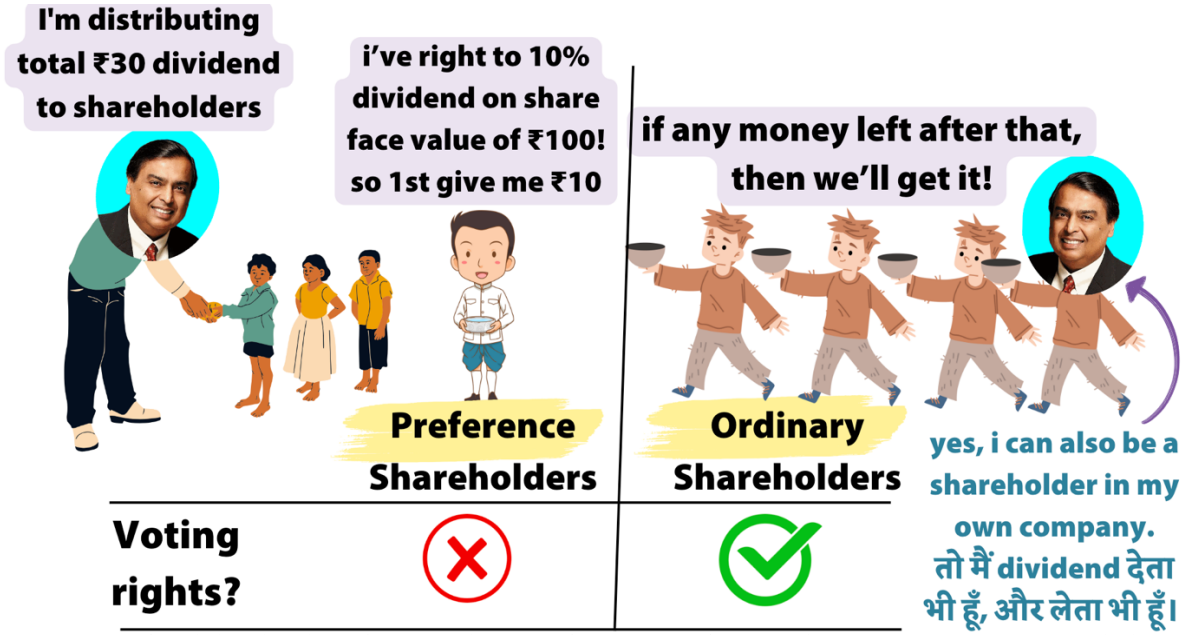
🔠❓ **What does 'Venture Capital' mean?** ***(Asked in UPSC-Pre-2014)***

A. A short-term capital provided to industries
B. A long-term start-up capital provided to new entrepreneurs
C. Funds provided to industries at times of incurring losses

D. Funds provided for replacement and renovation of industries

🔠❓ **An individual investor who invests in the e-project usually during an early stage is (UPSC-IES-2020)** A) corporate strategic investor B) founder capital C) angel investor D) venture capital

16.11.2 Share Types: Preference Shares vs ordinary shares



e.g. Jio 10% fixed dividend Preference Share on face value of ₹100. That means person is entitled to a FIXED ₹10 dividend (if company makes profit.)

Parameter	Preference Share अधिमान्य शेयर:	Ordinary Share साधारण शेयर:
Rate of dividend	Dividend payout's rate is fixed e.g. NIRMA 10%.	Dividend payout's rate fluctuates depending on how much money LEFT AFTER giving dividend to pref.share holders
if company makes ZERO profit, does this investor have a right to get dividend?	No. जब मुनाफा हुआ ही नहीं तो तंबुरे का डिविडेंड मिलेगा!!?	No.
Rights upon liquidation of the company	they'll get ₹₹ BEFORE ordinary shareholders	they'll get money AFTER pref.shareholders
Voting rights	N/A	Yes have voting rights in company decisions.
Convertibility	Yes, can be converted into ordinary shares	Equity stocks cannot be converted.
Issuance	It is not mandatory for company to issue preference shares.	A registered companies must issue equity shares. (More Refer to Pillar1C2: Company Types)

Parameter	Preference Share अधिमान्य शेयर:	Ordinary Share साधारण शेयर:
Risk to investor?	lower	higher

💡NOTE: preference shares have many sub-types e.g. (cumulative vs non cumulative), (redeemable vs non-redeemable) but we will not PHD.

16.11.3 Shares for Employees / VIPs / Special investors : ESOP, Equity Warrents

Sweet Equity	Shares sold @discount to directors & employees for their value addition to company [Amount is regulated under Companies Act] 🙋♀FAQ: How is Sweet Equity similar / different than ESOP/Equity Warrant Ans. NOTIMP. 1 liner GK. थोड़ा-पढ़ो-आगे-बढ़ो.
🎓✋ Sweat Equity कुछ काम नहीं परीक्षा में	- 1)What is this? NOT IMPORTANT. - 2) How different from Sweet Equity? NOT IMPORTANT. 🚩👶FAQ: I'm a commerce graduate / hot-shot MBA-walla and I've 500 jaat ke Counter arguments. Ans. Good. Plz Keep it with yourself. This course for teaching some basic one liners for MCQ. We are not preparing for your semester exams.

16.11.4 Share types depending on risk / quality

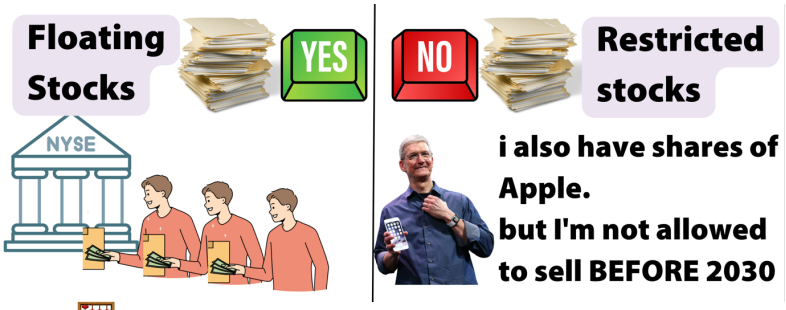
Penny stocks फालतू कंपनी का	Shares whose market price remain excessively low compared to its face value. Such pathetic companies give zero or little dividend. 🚩👶FAQ: I'm a commerce graduate / sharemarket ka hot-shot trader and I've 500 jaat ke Counter arguments. Ans. Good. Plz Keep it with yourself.
Blue Chip stocks	Shares of a nationally recognized, well-established and financially sound company with a history of generating good return for the investor. E.g. Reliance, TCS,
Multi-bagger Share	When company's share price climbs rapidly of time. e.g. IRCTC (2021) from ₹300 to ₹1000 = 233% return on investment (ROI) within January to October 2021
Cyclical / Seasonal Shares	When price of a company's shares depend on the particular business cycle. e.g. automobile shares will generally rise during Navratri till Diwali shopping season.

🚩👶FAQ: tell me Similarity and difference between Blue chip vs Multibagger? ANS. Notimp.

🚩👶FAQ: Share vs stock- what is the difference? This academic-pedantry NOTIMP4EXAM.

16.11.5 Share types: Floating vs Restricted Stocks

Q. are the shares available for buying/selling in secondary market?



16.12 Account types

Account	Meaning/subtypes
Personal Account	- 1) Natural person account e.g. Mark Zuckerberg - 2) Artificial legal person's account (=company's account) e.g. Meta (Facebook).
Real Account	- 1) Tangible Real Accounts e.g. buildings, vehicles, machines - 2) Intangible Real Accounts e.g. Goodwill, Patent, Copyright, Trademark, etc.
Nominal Account	- 1) Gain/Income account e.g. revenue from goods sold, income earned from investments, - 2) Loss/Expense account e.g. salaries, rent, cost of raw material.

16.12.1 Goodwill –while buying another company/brand

Item	Price in Million $ (Not real. Just e.g.)
Company Whitehat's assets building, machine, software copyrights etc.	250
Byjus buys Whitehat at price	300
Difference = Goodwill acquired by Byjus =	50

- Goodwill is an 'intangible asset' for the buyer company (Byjus in above example.)
- Goodwill represents Whitehat's reputation, customer base, brand, or other intangible factors- for which Byjus paid 50 million extra, BEYOND the fair-market value of Whitehat's assets.

MCQ. Goodwill Account is a/an _ _ _ (UPSC EPFO-2023)

(a) Personal Account (b) Real Account c) Nominal Account (d) Expense Account

16.13 Ratios / Numbers to compare the companies

Note: If I've not covered a particular ratio e.g. Price to Book Ratio (PB) = means I feel it is poor cost benefit for the exam.

16.13.1 Valuation of companies

Term	Valuation of Listed Company	Valuation of (unlisted) Startup company
Meaning	It is the total value of a listed company's shares.	It is the process of estimating the total value of a Startup company.

Term	Valuation of Listed Company	Valuation of (unlisted) Startup company
Formula	Current share price (X multiply with) total number of shares.	Complex formula involving company's financial performance, its assets and liabilities, and its future growth potential.
Example	See Apple Company in previous section	Byjus @ $22 Billion (2022-Oct) @$12 Billion (2023-Aug)

16.13.2 Valuation →Startups → 🦄 Unicorn Startup

Means the startup has valuation of 1 billion U.S. dollars or more. e.g. Unacademy, Byjus, etc.

16.13.3 Valuation → Listed Companies (Small Cap/Mid Cap/Large Cap)

Market capitalisation = {Total number of share multiplied with current price of every share.}

Market cap can change every day, depending on the price movement in sharemarket.

Apple Company	(A) Total No. Of Shares	(B) Price of 1 share	Market Cap = A x B
2023-Jan	15.63 billion units	$125	$1.9 trillion
2023-Sept	15.63 billion units	$171	$2.6 trillion

In India, shares are classified based on market capitalization as follows:

Type	Small Cap	Mid Cap	Large Cap
Market Capitalisation^^ (General understanding)	less than ₹5000 cr (=₹50 billion)	between 5000-20,000 cr (=50-200 billion)	more than 20,000 cr (=₹200 billion)
Market Capitalisation (exact SEBI Rule)	below 250 rank	101–250 rank	top-100 companies based on Market cap
Examples	VIP Suitcase	Castrol	Reliance, Infosys, TCS etc giants
Risk to shareholder	High	Medium	Low
Liquidity of shares (how easy to re-sell & Exit)	Low. Difficult to find buyer	medium	high. Easily u can re-sell to exit.

^^ Note: This crores rupee number varies from year to year depending on how much share prices changed. We'll not waste time memorising EXACT number.

16.13.4 Market Cap records: Nvidia (5 trillion), Reliance (20 lakh cr)

2024-Feb	**Reliance** - First Indian company to hit ₹20 lakh crore market cap
2025-Oct	**NVIDIA** (USA) – First company to hit $5 trillion market cap. It deals with AI/Graphics cards. For comparison: India's GDP ~ $4 trillion.

16.13.5 🤖📉 Solow Paradox AI Bubble & S.Korean Market KOSPI Crash 44% (2026)

- Nobel Economics winner Robert Solow (1987) predicted that "You can see the computer age everywhere (in news PR, stock market bubble) but Computer has not improved the productivity statistics that much."

- 2000: Dotcom bubble wiped up $5 trillion from USA Sharemarket.
- 2026 Jun-July: S. Korean stock exchange (KOSPI) crashed 44% wiping out more than $2 trillion in market value.
- Reason: - Samsung & SK Hynix carry 50% weight in KOSPI index. But their AI bubble not looking sustainable, so investors are quitting.

16.13.6 🔑🚗💵 Key Man Risk- Elon Musk $56 billion package (2025)

- Key Man Risk = when company depends too much on one person.
- 2025 Elon Musk threatened to resign, if Tesla board did not ↑ his salary to $56 billion.

16.13.7 🍺🫧 Market Froth & Asset bubble in Small-cap & Mid-cap (बाजारू झाग और संपत्ति गुब्बारा)

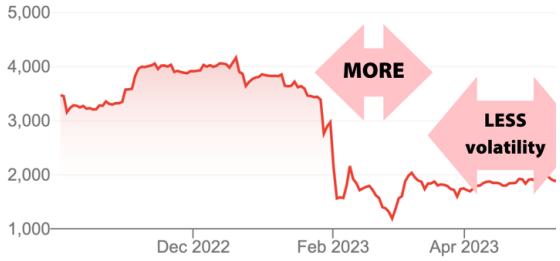
- During market froth, investors begin to ignore fundamentals (e.g. a company's profit-loss balance sheet) and buy its shares rapidly → demand rise → share price increases in a rapid-unsustainable manner.
- This ultimately results in an asset bubble that can lead to a collapse, e.g. Dotcom bubble in the USA (2001) and the Subprime crisis (2007–08).
- 2024: SEBI felt that small-cap and mid-cap companies were experiencing market froth → SEBI issued some technical directives on mutual funds to reduce their investments such companies.

16.13.8 🌷 Tulip Mania (किसी निवेश के पीछे सामूहिक पागलपन)

– mid-1600s: Tulip flower was introduced in Holland/Netherlands.
– some people started buying Tulips in high quantity, with the hopes of re-selling it to customers at much higher price. But ultimately this bubble collapsed.
– Today, if price of an asset (share, real-estate, Bitcoin) start climbing unreasonably high → Columnist describe it as 'Tulip Mania'.

16.13.9 📈📉 Volatility / ViX (कीमतों में अस्थिरता)

– If the prices of a share changes rapidly in a short time span → we say it has "high volatility". e.g. Adani after Hindenburg report. Mathematically expressed thru an indicator called **"ViX"**

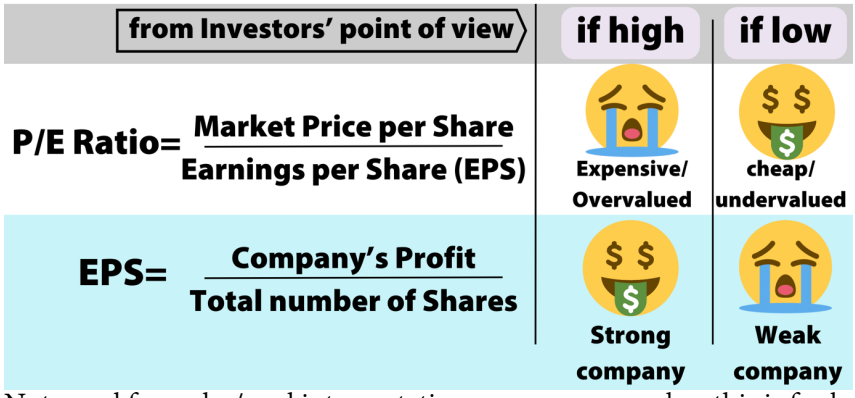


16.13.10 🐾 Net Worth = Total Assets –(minus) Total Liabilities

Amount	Mukesh Reliance	Anil Ambani's Reliance Capital Ltd. Company
Total Assets (A)	₹16 Trillion	₹63,000 crore
Total Liabilities (L)	₹ 6 Trillion	₹83,000 crore
NET Worth = A - L	16-6=10 POSITIVE	NEGATIVE 20,000 cr. Case going on in IBC code

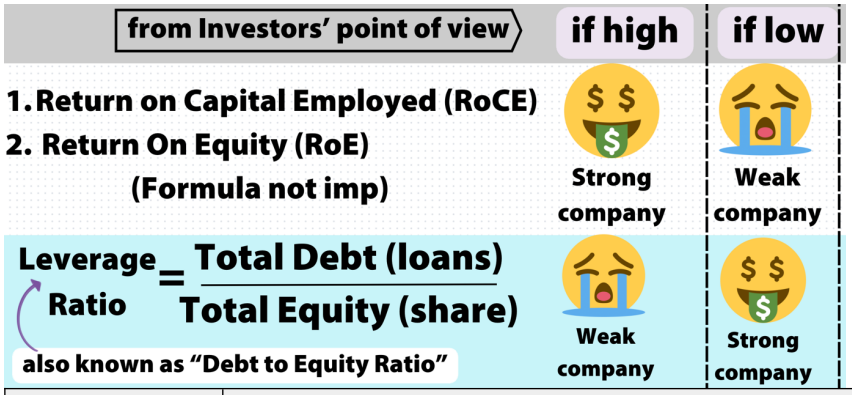
👩‍♀️**FAQ: can we say NET-worth represents profit/loss of the company? Ans.** It is more refined than that. Because company may be profitable for present year. But IF its liabilities are too big then it may have NEGATIVE net-worth. But we'll not do PHD. थोड़ा-पढ़ो-आगे-बढ़ो.

16.13.11 🐾 Price-to-Earnings (P/E) Ratio and EPS (Earnings per Share)



Note: real formulas/ real interpretations are more complex. this is for basic understanding for MCQ.

16.13.12 🐾 Leverage Ratio, Debt to Equity Ratio, ROCE, etc



Year 2022	Tata Motors	Maruti
Debt:Equity ratio	2 (means Tata borrowed 2x times more money than the amount of share capital it has)	0 (debt-free company)

Note: real formulas/ real interpretations are more complex. this is for basic understanding for MCQ.

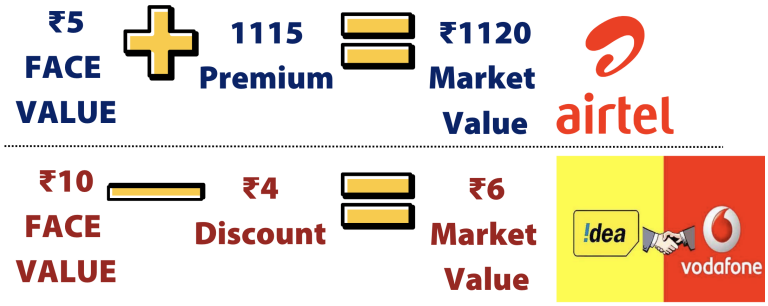
16.13.13 🔨 EBITDA, Depreciation, Amortization

EBITDA	It shows Company's Earnings Before loan Interest repayment, Taxes payment, Depreciation, and Amortization. Higher number is better.
Depreciation	Represents wear and tear, repairs, or decrease in the value of physical assets like machinery and buildings. भौतिक संपत्तियों का घिसाव / मूल्यह्रास
Amortisation	Represents decrease in the value of intangible assets like patents and copyrights. अमूर्त संपत्तियों का घिसाव / मूल्यह्रास

16.14 ⚖️💳 Methods of Issuing Shares

16.14.1 Share price

- Share have printed price on the certificate called **Face Value or Par Value** (सममूल्य).
- If they're sold at higher price than face value, it's called "trading at a **Premium Value**"
- if sold lower than face value, it's called "trading at a discount".

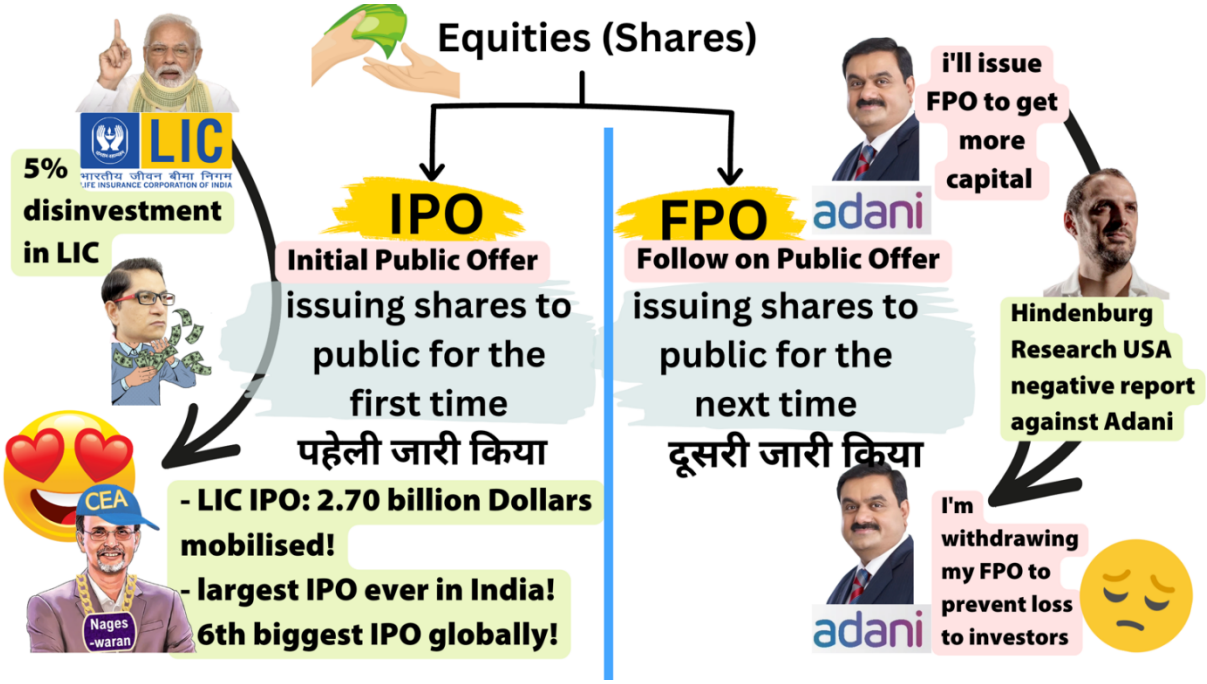


16.14.2 Sharemarket- company related documents

Guidance	Guidance report contains company's estimate of its future growth. Company releases this report for investors/shareholders/analysts.
Prospectus	it is the document containing all the info about the IPO-wali company.

16.14.3 IPO – Initial Public Offer

🙋‍♀️FAQ: When FPO is issued, is it primary market or secondary market? Ans. It is ultimately a Petipack/brand new share = primary market. However, this pedantry NOTIMP4EXAM.



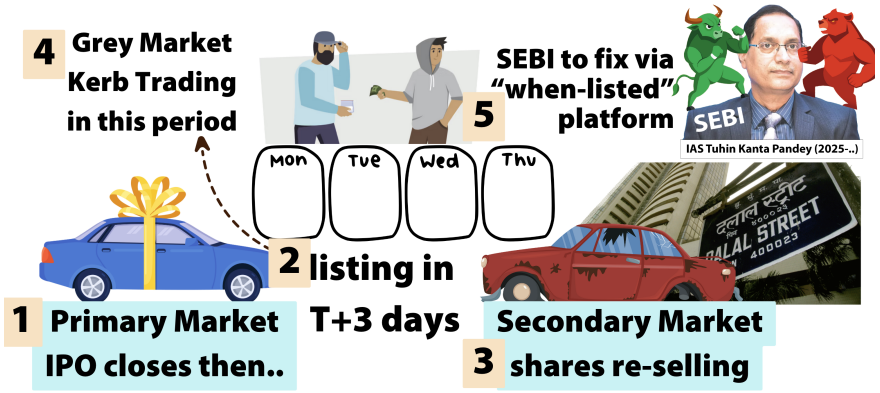
16.14.4 Underwriter / Lead managers

- Underwriter is a merchant banker/investment banker (ref Pillar-1B1)
- He undertakes the responsibility of issuing IPO/FPOs on behalf of the company promoters.
- If IPO not fully subscribed, then underwriter will buy unsold shares.
- Lead Manager = synonym for underwriter. (there is internal difference, but boycott PHD).

16.14.5 Terms: IPO, FPO, QIP

IPO and FPO	Explained in video using above chart.
Rights issue (अधिकार निर्गम):	Company issues additional shares (FPO) but gives first right to existing shareholders to buy them, if they refuse then offered to outsiders.
QIP - Qualified Institutional Placement	When company issues the shares only to qualified institutional buyers (QIBs) e.g. mutual funds, pension funds, insurance companies etc 2025LSBI's ₹25,000 cr QIP became the largest in Indian financial market history, which it plans to use for BASEL recapitalization.
Private Placement	If Zee offers to sell its shares only to Ambani. But not to others retail investors.

16.14.6 🌑🤝 GREY MARKET / "kerb trading" & "When-Listed" Platform



- In primary market, when the IPO closes, its gets listed in secondary market/stock-exchange in three working days (T+3).
- Grey market / "kerb trading" refers to the unofficial trading of shares even before being listed on stock exchanges.
- Grey market is an unregulated market and works on cash transactions.
- SEBI aims to reduce grey market activity thru a new platform called "when-listed" platform.
- It'll allow investors to sell the IPO-allotted shares even before they get listed in the secondary market. Further technical details, not important for the scope of our exam.

16.14.7 Share-selling: Offer for sale (OFS) and share pledging

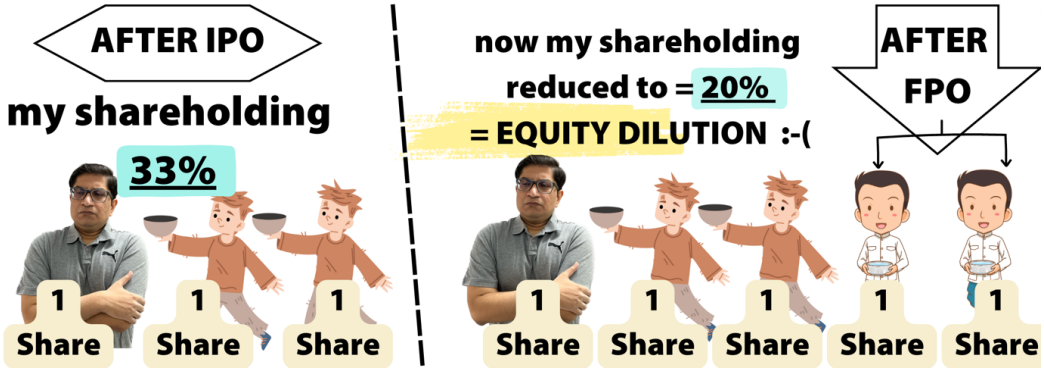
👩🏼‍⚖️♀FAQ: How is OFS different than IPO/FPO? Ans. Motives are different. IPO/FPO is when owner wants money for the company by selling fresh shares. OFS is when owner wants money for himself

by selling his own shares. But this pedantry is NOTIMP.

16.14.8 Share-selling: Open Offer

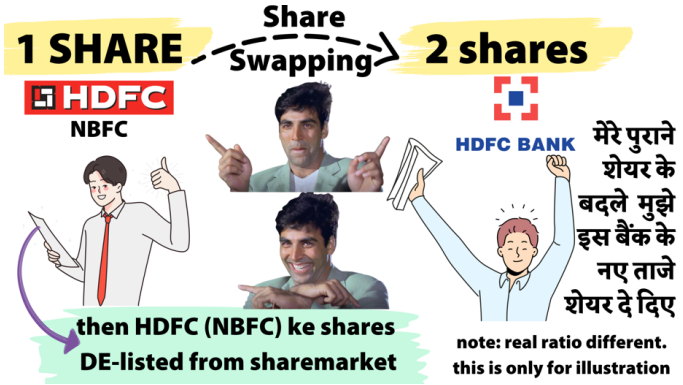
🙋‍♀️**FAQ: now I'm confused between OFS vs Open offer?** Ans. Khichdi mtt karo. Their objectives are different. Observe the photos carefully.

16.14.9 🌿Share Selling: Equity dilution



16.14.10 🌿 Share Swaping and De-listing

Terms in news after HDFC (NBFC) got merged into HDFC (Bank), in 2023.



16.14.11 🌿 Bonus Shares

	Total Qty	Price	Total Value in ur DEMAT account
Before	1 Share	₹100 x 1 No.	₹ 100.00
After Bonus Share	3 extra Shares	₹100 x 4 No.	₹ 400.00?? NO. this will NOT happen reason given below:

- After bonus shares → total number of shares in DEMAT account will increase.
- But the bonus shares are assumed to be **purchased at ₹0 by the shareholder.**
- So average price will decrease- in secondary markete.g.

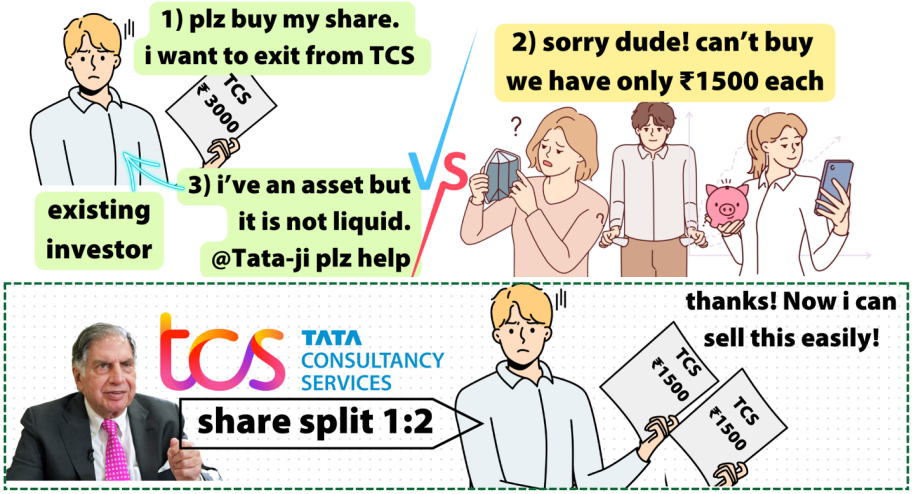
$$\text{Per share price} = \frac{\text{Total price (100+0+0+0)}}{\text{Total shares (4 Nos.)}} = \frac{100}{4} = ₹25$$

share	original	bonus share1	bonus share2	bonus share3	Average Price per share
purchase price of Shareholder	₹100	₹0	₹0	₹0	₹25

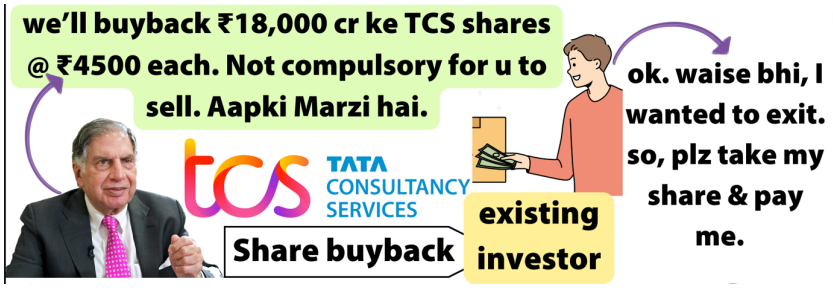
16.14.12 Share Splitting

Note: Share splitting depends on marzi/ discretion of company's board of directors. It is not done on 1-1 investor's complaint/request. I have given an example only for illustration.

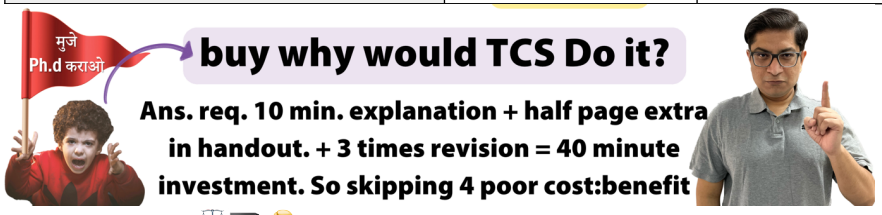
FAQ: **I have 500 doubts in Bonus share vs Share split!** Ans. Remember them as single photo-frame without doing compare-contrast. IF you've time to waste then do self-PHD from this article.



16.14.13 Share buyback by the Company



Total Share liabilities of TCS	BEFORE	AFTER Share buyback
Amount	₹ 12 lakh crores	12,00,000 - 18,000 = ₹11.82 lakh cr



16.14.14 ⚖️💳👷 IPO → Special Purpose Acquisition Company (SPAC)

Byjus wanted to create this special type of company for launching its IPO but Byjus ke khud ke wßaandhe ho gaye so newspapers no longer writing about it = faded topic. Removing from handout.

16.14.15 ⚖️💳🌐 ADR/GDR: DESHI Shares in *Videshi (Foreign)* soil

- A non-American company wants to mobilize money from American share market but does not want to go through the lengthy & complex process of registration with the American sharemarket regulator. (बिना अमरीकी SEBI मे पंजीकरण किए, उनके शेयरबाजार से पैसा उठाऊँ, तो कैसे?)
- Then such non-American company gives its shares to an American bank.
- Based on those (non-American) shares, the American bank will issue American Depositary Receipts (ADR: अमरीकी निपेक्षागार रसीद) & sell them to American investors. **Denomination**: USD.
- **Global Depositary Receipt (GDR):** Same as above, but when single bank issues receipts for investors in multiple countries. **Denomination**: usually USD or Euro.

Share issuing company →	Deposits his company's shares in a bank of →	That bank issues -- in local market in – currency
Non-American company →	American Bank →	Issues ADR (in $) in American Sharemarket
Non-Indian company →	Indian Bank →	Issues Bharat / Indian depositary receipt (IDR) (in ₹) in Indian Sharemarket

16.14.16 🏦🌐 Direct listing of Indian Companies in foreign stock exchanges (2023)

Note: This topic is still developing. It is allowed via Gift-City (Gujarat). (Ref: Pillar#3A)

16.14.17 🔗💊 Initial Coin Offering (ICO) - prohibited by FinMin's FIU (2026)

Figure 1: Cryptocurrency में पागल हुई पब्लिक को फिरसे बेवकूफ बनाऊ, तो कैसे?

⇒ Company wants investors' money for launching new cryptocurrency, or service/app related to an existing cryptocurrency.

⇒ Then, it'll issue Initial Coin Offering (ICO) → Investor subscribes to it, and receives 'tokens' (and not SHARES). Investors can use the 'tokens' to buy companies coins/services or may sell it to a third party.

⇒ 2026: Finance Ministry's Financial Intelligence Unit (FIU) has prohibited issuing such ICO

16.15 📈 Stock Exchanges / Secondary Market: meaning & examples

Shares are issued through IPO @Primary market. Then, they can be resold at secondary market, commonly known as *Share market or Stock Exchange* or *Bourses*.

⇒ **World's Oldest**: Amsterdam Stock exchange, Netherlands (1602)

⇒ **Asia's Oldest:** Bombay Stock Exchange (BSE: 1875)

⇒ India's stock exchanges chronology: BSE → A'bad → Kolkata → NSE (early 90s)

⇒ Just like Banks have Core Banking Solutions for e-banking, Stock exchanges have their electronic platforms for trading. E.g. **BOLT** (BSE's On-line Trading System), **NEAT** (National Exchange for Automated Trading). They communicate using **VSAT** (Very Small Aperture Terminal) Satellite.

⇒ Stock exchanges can have separate platform/website for trading in Debt (Bonds etc) and trading in equities (shares).

🔠 ***MCQ. Consider the following statements: (Pre'24-Set-C-Q52)***

1. In India, NBFCs can access the Liquidity Adjustment Facility (LAF) window of RBI.

2. In India, Foreign Institutional Investors can hold the G-Secs.

3. In India, Stock Exchanges can offer separate trading platforms for debts.

Codes: (a) 1 and 2 only (b) 3 only (c) 1, 2 and 3 (d) 2 and 3 only

16.15.1 📈🌈 Social Stock Exchange

⇒ It is a market for buying/selling shares/bonds/mutual fund for projects/organizations related to hunger/malnutrition, poverty, gender equality, LGBT welfare, rural sports, Slum Area Development, affordable housing. Etc.

⇒ **Budget-2019:** we'll set up a **Social Stock Exchange** under SEBI's regulation. It'll help social enterprises and voluntary organizations to raise capital as share/bond/mutual funds for eradicating hunger, malnutrition, poverty, gender equality,LGBTQIA+ communities, rural sports, slum area development, affordable housing

⇒ Then SEBI setup **Ishaat Hussain panel** to study it. Then SEBI setup **Harsh Bhanwala** panel to study is further. They've given recommendations but NOTIMP

⇒ 📕ES24: so far 51 non- profit organisations (NPOs) and non-government organisations (NGOs) raise funds from the public through the stock exchange mechanism worth ₹12 crores. for social projects in education, livelihood generation, skill development, etc.

⇒ To be listed on SSE, NGOs/NPOs must disclose their past and present audit reports, must have minimum 3 years experience etc.

16.15.2 📈🤩 Secondary Market: Significance? (द्वितीयक बाजार का महत्व)

⇒ ⏬ Cost of Transactions . You don't have to search around for buyers/sellers manually. सब लोग एक जगह पे मिल जाते है। एक दूसरे को ढूंढने मे रिक्शा का खर्चा/लागत बच जाता है।

⇒ Providing Liquidity to Financial Assets. तरलता बढती है क्योकि खरीदार मिल जाता है।

⇒ Facilitating Price Discovery of shares / bonds. औकात पता चल जाती है कंपनी की।

⇒ Investor sells securities in secondary market⟶ ₹₹ could be re-invested to a new company's IPO in primary market ⟶ Contributes to Economic Growth. (पुरानी घटिया कंपनी में से निवेश की रकम निकाल कर नई और बहेतर कंपनी में निवेश हो सकता है)

16.15.3 📂💾 DEMAT Account and Depositories

Figure 3: कागजी शेयर्स को चोरी/आग से बचाऊँ, तो कैसे?

⇒ If shares and bonds are traded in paper-form, then transactions are slow & prone to the risk of theft, forgery and fire. कागजी स्वरूप में शेर से रखे जाएं तो चोरी होने का जालसाजी का आग लगने का डर😨

⇒ Depositary is an organization that holds the securities (like shares/bonds etc.) in electronic (=**DEMATERIALIZED**) form. Then facilitates its trading online.

⇒ Upon client's request, Depository can 'rematerialize' it as well (i.e. giving physical/hard copy of share/bond etc) to client.

⇒ Customer must open a "Demat" account in a depository-partner (DP). DP can be Bank/NBFC.

⇒ SEBI regulates them under the Depositories Act 1996. Notable examples:

- Central Depository services Limited (**CDSL:** owned by BSE, HDFC, Canara Bank etc.)
- National Securities Depository Limited (**NSDL**: owned by SBI, IDBI, UTI, NSE etc.)

NSDL also has RBI license to operate Payment Bank

2024-March: India has 9.2 crore registered investors. Nearly 20% Indian households now channelling their household savings into financial markets"- said Economic Survey 2024.

16.15.4 🛒 (💻:👴💼) DEMAT → ASBA Reforms in IPO/Primary Market

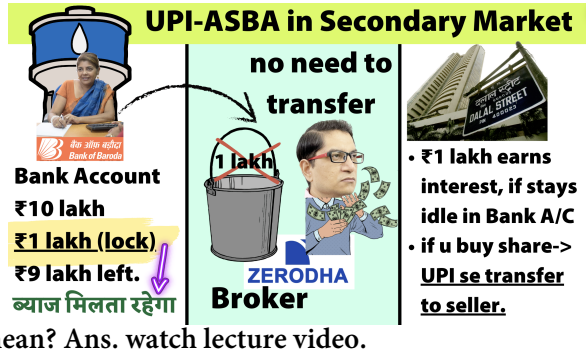
⇒ Scamster Rupal Panchal (2005) opened multiple fake DEMAT accounts to increase the chances of getting share allocations in IPO.

⇒ Then she'd sell such shares in stock-exchange for higher prices.

⇒ Subsequently, SEBI made PAN Card (issued by Income Tax Dept) compulsory for opening DEMAT Accounts. SEBI also introduced ASBA (Application Supported by Blocked Amount)- it allows the underwriter to block the amount in IPO-investor-applicant's bank account, but only IF shares allotted to the applicant, his bank money will be deducted. ASBA-Benefits:

- only serious investors with sufficient bank balance can apply.
- investor continues to earn bank interest on his blocked amount until the process of IPO-share allotment is over.

16.15.5 UPI-ASBA in Secondary Market Reform by SEBI (2024-Jan)



What does above chart mean? Ans. watch lecture video.

16.15.6 📲 SEBI mandates dedicated UPI-id for intermediaries

When investor have to transfer money to stock market intermediaries such as brokers, mutual funds managers etc.

before	after
normal UPI id e.g. 98259####@sbi so scamsters could send fake-id,	exclusive and verified United Payments Interface (UPI) e.g. Sherkhan.broker@validHDFC.

difficult to verify for investor.	Investors can check validity of such id on ' SEBI Check app'

16.15.6.1 🔢 ISIN Number

⇒ International Securities Identification Number (ISIN) is a Unique 12 characters, consisting of both letters and numbers. प्रतिभूतियों का अंतरराष्ट्रीय पहचान संख्यांक

⇒ It's a serial code to identify securities e.g. Reliance Industries Limited Shares ISIN: INE002A01018; Infosys Shares: INE009A01021.

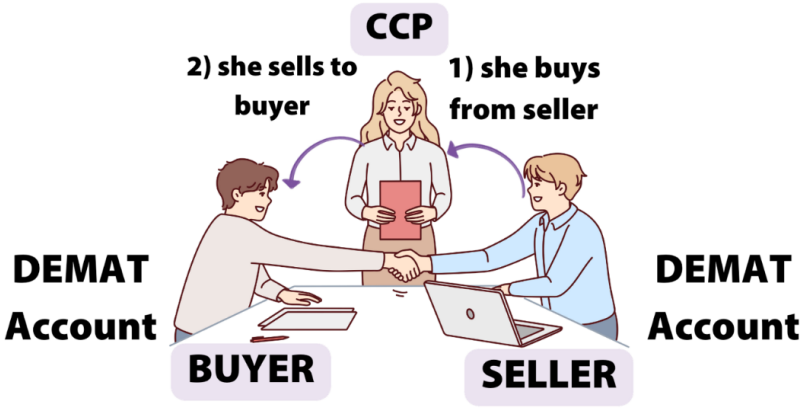
16.15.7 📧 CAS system (=monthly statement of transactions)

- A Consolidated Account Statement (CAS)= document showing investor's monthly transactions across all mutual funds/shares/bonds etc. held in in dematerialised (demat) mode.
- CAS is emailed to the investors by the depositories (NSDL or CDSL)
- CAS helps investor to (1) get alerted about any fraudulent transactions without his knowledge (2) total value of his investment.

16.16🤝 CENTRAL COUNTERPARTIES (CCPS), NOVATION & ESMA CONTROVERSY

Problem

Solution



- CENTRAL COUNTERPARTIES (CCPS) act as intermediary between the buyers and sellers in financial market. E.g. G-Sec, T-bill, shares, bonds, derivatives, forex, commodities
- They act as a central counter-party to every trade i.e. CCP becomes seller to the buyer, and simultaneously CCP becomes buyer to the seller. This process is called "novation". (HOW? Ans. Observe the chart carefully.)
- so, if one of the party does not honour the agreement → CCP will take care of it. Thus, CCP prevents system failure.

16.16.1 🤝 CCP Examples in India

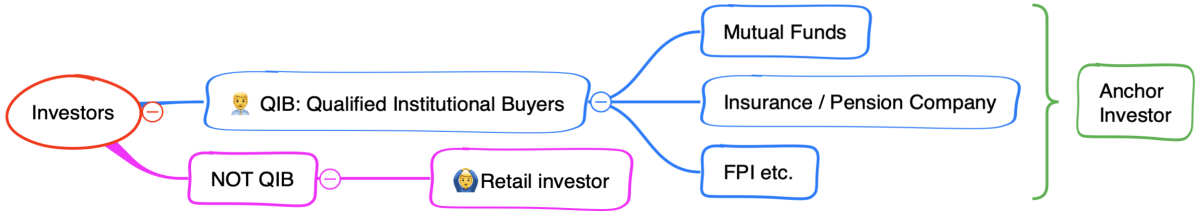
The Clearing Corporation of India (CCIL), Indian Clearing Corporation Ltd (ICCL), NSE Clearing Ltd (NSCCL), Multi Commodity Exchange Clearing (MCXCCL), India International Clearing Corporation (IFSC) and NSE IFSC Clearing Corporation Ltd (NICCL).

16.16.2 🤝🐂 CCP Regulation in India: Who regulates CCP in India?

Matter	Regulator
Money transfer between buyer and seller	RBI using powers of Payment and Settlement Systems Act, 2007
Foreign currency transactions	RBI using powers of Foreign Exchange Management Act, 1999
Shares, Bonds, Commodities	SEBI using powers of SEBI Act, 1992 and Securities Contract (Regulation) Act, 1956 (SCRA)

16.17 👨🛒 Investors ke Types

16.17.1 Types of Investors: Depending on Buying Capacity



1. 👨💼**Qualified Institutional Buyers (QIB** अर्हता प्राप्त संस्थागत निवेशक**)**: Investors with expertise and financial muscle to make large investments in capital markets. E.g. Mutual Funds, Insurance Company, Foreign Venture Capital Funds etc. SEBI has separate registration norms for them.
    a. **Anchor investors**: They're sub-type of QIBs who are offered shares before IPO-launch. This gives confidence to other investors to subscribe the given IPO.
2. 👩♂**Retail investor**: An individual investor who is not a QIB. (आम/खुदरा निवेशक)

Underwriter will keep quota for each category of investors, as per SEBI norms.

16.17.2 👨🛒 Types of Investors: Depending on Buying Behaviour

1. **Jobbers (आढ़ती)**: Full time engaged in buying / selling securities using money from their own pockets. (Whereas brokers / commission agents buy/sell using money/shares of their clients).
2. **STAG (Male Deer)**: He buys newly issued securities **from primary market** & sells them in secondary market for quick profit. प्राथमिक बाजार से खरीद के द्वितीयक बाजार में मोटे मुनाफे पर बेचने की इच्छा रखता
3. 🐮**Bull** (तेजड़िया): Optimistic speculator who hopes share prices will rise⏫, so purchases (to sell them later at much higher price). Just like a bull tends to throw his victim up in the air, the bull speculator stimulates the price to rise.
4. 🐻**Bear** (मंदड़िया) – A pessimistic speculator who fears prices will fall ⏬ so, he sells. A bear usually presses its victim down to ground. Similarly, bear speculator tends to force down the prices of securities.

🔠❓ **MCQ. In the parlance of financial investment, 'Bear' denotes [UPSC-CDS-2012]**

(a) an investor, who feels that the price of a particular security is going to fall.

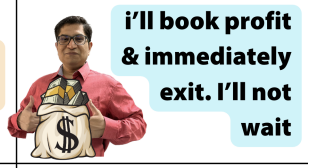
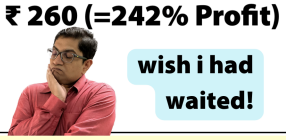
(b) an investor, who expects the price of a particular share to rise.

(c) a shareholder, who has an interest in a company, financially or otherwise.

(d) any lender, whether by making a loan or buying a bond.

16.17.3 🤑 Disposition effect: मुनाफ़ा तुरंत लेके भागूँगा, लेकिन नुक़सान सहके बैठा रहूँगा।

- if investor is in profit, he will sell immediately, but if he is in loss, then he will continue to hold for a long time, even if it results into more losses. Observe table
- SEBI used this term to describe the behavior of Indian investors in IPO.

	PAYTM	Zomato
Primary Market (IPO)	₹ 2150.00	₹ 76.00
Secondary Market Listing price (2021)	₹1950 (-9% loss)	₹116 (=52% profit) 
Current Price (2024)	₹620 (-71% Loss)	₹ 260 (=242% Profit) 

16.17.4 Style of Trading / Investing based on duration and risk

Margin Trading	when a person is buying more shares, than he can afford to. usually done by borrowing money from the broker. Risky because is the investment fails then person will get into huge debt.
Day trading / Intra-day trading	Individuals buy and sell shares over the Internet over a period of a single day's trading, with the speculative intention of profiting from small price fluctuations.
Swing Trader	He's buying a share for just few days or weeks then sells it for profit.
Long term investor	He's buying for himself and he holds the share for more than 1 year.
Block Deal	When large value order placed e.g. ₹5cr or more. This is usually done by institutional investors such as Mutual Fund, Insurance companies etc.
Contra Trading / investing	- investor will do opposite of what everyone else is going. - e.g. in Corona-lockdown, if everyone is buying Pharma shares and ignoring PVR-cinema shares → then contra trader will begin investing in PVR-cinema shares (with the hope that after Corona unlock down → cinema industry will boom and contra-investor will make great profit)

Further subtypes with various animal / bird names can be found on Investopedia but with poor cost : benefit in exam. #⏰थोड़ा-पढ़ो-आगे-बढ़ो

16.17.5 Trader Types: Retail vs Proprietary Traders

	Retail	Mutual Fund	Proprietary Traders
Objective	Profit	Commission	Profit
Capital	Self	Clients'	Self
e.g.	if you're doing it in solo-mode with small amount of money.	Tata-MF, Birla-MF	Jaypee Capital, Edelweiss Capital = registered as company, and doing it in systematic manner with large employees & large amt of money.

16.18 📈 SENSEX & OTHER NOTABLE INDICES (उल्लेखनीय संकेतक/ सूचकांक)

⇒ **SENSEX?:** Sensitive Index/ संवेदी सूचकांक. It's the weighted average of Free Float Market Capitalization (FFMC) of 30 companies, selected by Bombay Stock Exchange (BSE)'s officials

⇒ **NIFTY?** National Stock Exchange (NSE)'s index of 50 companies.

⇒ **Nikkei?** Tokyo Stock Exchange index of 225 companies.

🔤❓ ***MCQ. Which of the following statements is/ are correct? [UPSC-CDS-2012-I]***

1. *NIFTY is based upon 50 firms in India.*
2. *NIFTY is governed and regulated by the Reserve Bank of India.*
3. *NIFTY is the stock index of Bombay Stock Exchange.*

Answer Codes: (a) Only 1 (b) Only 2 (c) Only 3 (d) 1 and 3

16.18.1 🦋📈 NSE-Nifty Ahimsa-500 & BSE Saatvik-100 Indices

2026	new stock exchange indices
2026	BSE launches **Saatvik 100** - it monitors companies NOT doing animal cruelty, addictive/toxic products, and harmful/violent activities
2026	NSE launches **Nifty 500 Ahimsa** —with similar objective

🥰 **Benefits?** (i) Value conscious retail investors can pick company to invest in.
(ii) Mutual funds can launch special scheme targeting this companies.

16.18.2 📈🌈Social Stock Exchange: zero-coupon, zero-principal instrument

⇒ Refer to "debt instrument" section of the handout for zero-coupon, zero-principal bonds.

16.18.3 SENSEX Goes up and down when?

📈 SENSEX – when does it go up	📉 Goes down when
💦 RBI's soft /easy monetary policy ⟶ cheap loan & credit cards ⟶ consumers to spend more ⟶ more profit to company ⟶ more dividend : investor thinks "*better I buy more shares to get more dividend*": Bullish	💧 Tight monetary policy (More in Pillar#1A2) संकुचन वादी मौद्रिक नीति के दौरान सेंसेक्स नीचे गिरेगा
Peace, Economic boom / prosperity, Political Stability (शांति, आर्थिक समृद्धि, राजनीतिक स्थिरता)	⚔️ War, recession, political instability ⟶ Bearish market. (युद्ध, मंदी, राजनीतिक अस्थिरता)

📈 SENSEX – when does it go up	📉 Goes down when
IF govt. raises foreign direct investment limit	When govt reduces FDI limit
Merger-Acquisition, New product launched, Environmental clearance given to factory	CEO/MD arrest/FIR, Courts slapping fine, media exposing scandal… (कोई कांड हो जाए)

16.18.4 🌪️:🐂⚖️👴⚖️ Force Majeure (अभेद्य शक्ति)

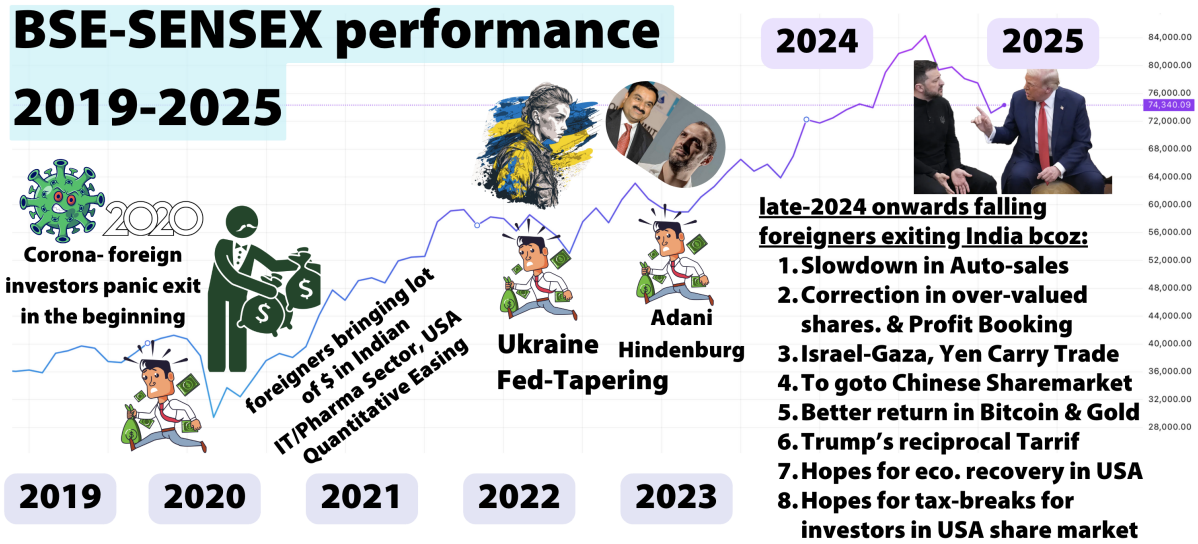
Figure 2: Corona के चलते बिजनेस प्रोजेक्ट पूरा नहीं किया, तो क्या जेल में भेज दोगे, या फांसी पे लटका दोगे? कुछ नहीं उखाड़ सकते मेरा!

⇒ **French word** for 'superior force'. It refers to unexpected external circumstances (अप्रत्याशित बाहरी परिस्थितियाँ) that prevent a party to a contract from meeting their obligations. e.g. *Acts of God (natural disasters, epidemics), war, terror attacks.*

⇒ In such cases, courts may not punish party for dishonoring contract. (करारनामे के दायित्वि को न निभाना)

⇒ E.g. **Corona (COVID-19) Virus** ⟶ Singapore Govt put restrictions on entry of Chinese ⟶ Singapore construction firms facing labour crunch (श्रमिकों की कमी) ⟶ invoked 'Force Majeure' to clients, "we can't finish building your homes/offices in time." Coronavirus: >55million people infected across the world (as of 2020-Oct).

16.19 🐮📈🐻 SHAREMARKET: 2020-2024



16.19.1 🦁📉 India falls from 4th largest (2024) to 7th largest Sharemarket (2026)

- Present ranking 2026-June = 1-United States, 2-China, 3-Japan, 4-Hong Kong, 5-Taiwan, 6-South Korea, 7-India
- reasons (1) exit of FPI (2) AI-boom resulted into faster growth of Taiwan and S.Korean stock exchanges, whereas India does not have that many listed-AI companies to attract the investment.

16.19.2 🏃 FPI exit is not damaging that much -says 📘ES25:

Foreign portfolio investment (FPI) = upto 10% foreign shareholding in an Indian company.

Year	FPI exit from India,	impact on NIFTY index
2020-Mar	pulled out $8 billion	23% fall
2024-Oct	pulled out $11 billion	6.2% fall^^

- ^^ Because, even when foreigner exits, their shares are confidently purchased by Indian investors and Indian mutual funds.
- So Indian stock market is more resilient to external shocks compared to the past.

16.19.3 🦅🦁 Relation between Indian and American share market as per 📘ES25:

- in last 10 years, Indian sharemarket gave avg. 8.8% return. - But 2024 April-Dec only 4.6%
- Whereas USA NASDAQ giving more 20% return each in 2023 and 2024.

Pattern	finding (2000–24)
If US market falls, then Indian market falls?	yes. 21 out of 22 times this happened.
If Indian market falls, then US market falls?	No. In fact, 13 out of 51 times, when Indian market fell, US market has gone up. (because the foreign investors would have moved money from India to USA)

- Granger causality is a statistical tool to find if one variable can predict another variable based on its past values.
- 📘ES25 used this statistical tool to find relation between S&P 500 (American share market index) and Nifty 50 (an Indian share market index)
- Finding? Indian markets tend to react more to US trends. Reverse case not very true. (Bcoz American investment in Indian market is higher than Indian investment in American market. इसलिए उनके भागने से हमे फ़र्क़ पड़ता है। हमारे भागने से उन्हें खास फ़रक नहीं पड़ता।)
- Many young Indian investors who entered the market after Corona have never seen a significant market correction. If the US share market falls in 2025, it will severely affect these young Indian investors' sentiments and spending behavior.

16.20 📕ES26 ON SHAREMARKET

16.21 📕ES26: Sharemarket has deepened its roots

21.6 cr DEMAT accounts. 1/4th of them women.

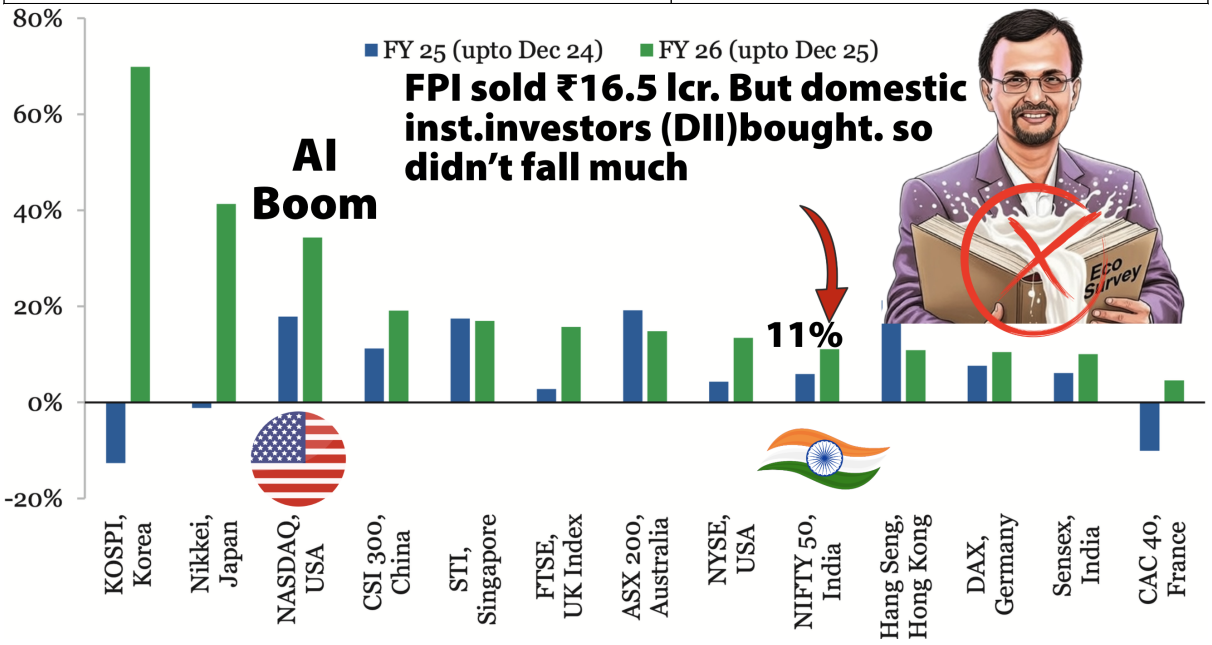
🔪 Corporate bond market under-developed laments 📕ES26:

2024	India	China	United States	Malaysia	S. Korea
Corp. Bond Market (% of GDP,)	16–17%	36–38%	40%	54%	79%

- Only a small group of institutional investors playing in C.Bond market. Insurance-pension companies not allowed to invest in mid-rated bonds. So, secondary market liquidity also low.
- Shallow bond market → high bank dependence by Corporate → high systemic risk.
- We need to deepen it to reduces companies' dependence on bank loans. It will enable enable bankers to redirect more loan amt to poor/farmers etc.

16.21.1 FII were net SELLER and DII were NET Buyers - ES26:

Domestic Institutional Investors	Foreign Institutional Investors
domestic MFs, Insurance Companies, Banks, Financial Institutions, Pension Funds, Non-Banking Financial Companies (NBFCs), Domestic Sovereign Wealth Funds (SWFs), Asset Reconstruction Companies (ARCs), etc.	Foreign Portfolio Investors (FPIs), Foreign Direct Investment (FDI >10% investment), Foreign SWFs and ownership through Depositary Receipts (DRs) held by custodians.
own 18.3% of Indian companies' shares	Sold ₹ 16.5 Lcr ke shares (2025)



16.21.2 IPO ke naam pe founders mostly OFS to 'exit' - laments ES26:

In IPO two things can happen

- Fresh new shares are issued, and the company receives money.
- OFS Offer for Sale → Previous investors /founders sell existing shares to the public. The company doesn't get fresh capital.
- 2025: 94 companies issued ₹1.60 lakh crore in IPO, but 58% of that was OFS.
- Chief Economic Advisor (CEA) remarked, "Initial Public Offerings (IPOs) have increasingly become exit vehicles for early investors, rather than mechanisms for raising long-term capital. This undermines the spirit of public markets. We should not be "celebrating the wrong milestones," such as market capitalization or the F&O trading. (क्योंकि वो सब गुब्बारा है)

16.21.3 To ⇓ cost of capital: Mfg Powerhouse >> Deepening Capital Market says ES26

- To reduce the cost of capital for companies we've to increase productivity, mfg, exports. Then companies can use their profit for re-investment / expansion.
- Deepening of capital can support a this transition, but it. cannot substitute for it. (यानी कि ग़रीब आदमी का पैसा शेयर बाज़ार में लगे, उससे ज़्यादा ज़रूरी ये है कि कंपनियां उत्पादन ज़्यादा करें और निर्यात ज़्यादा करें। तो कंपनियों को अपने आप ही मुनाफ़े में से पूंजी मिल जाएगी जिससे वे अपनी कंपनी का विस्तार कर पाएँगी)

16.22 Market Theories

16.23 Efficient Market Hypothesis /theory (EMH)

- financial markets are efficient in processing information and pricing securities. So one investor CANNOT always KEEP earning more profits than the average trend in market.
- Gist: शेयर बाजार में जो होना है, वह होकर रहना है. तुम कम्पनी का चार्ट/बेलेंश-शीट पढ़कर तंबूरा कुछ नहीं उखाड़ सकते। भले आपका एक दाव सही लग जाए, लेकिन दो-तीन गलत भी लग जाएंगे तो. फिर नफा मोटा नहीं सामान्य(एवरेज) ही हो जाएगा.
- However, some experts disagree with it. We'll not debate. थोड़ा-पढ़ो-आगे-बढ़ो.

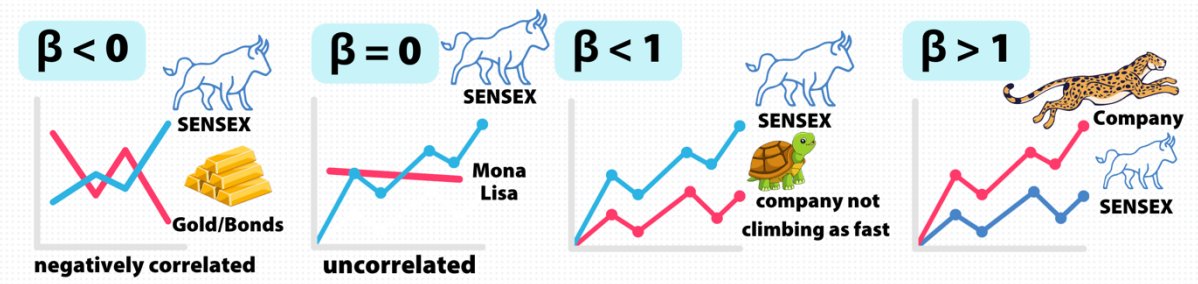
16.23.1 Random walk theory

- Share prices move unpredictably.
- Therefore, company's past shares prices/charts shouldn't be used to predict future prices.
- So, it is impossible to beat/defeat the share-market.

16.24 Alpha and Beta Values

16.24.1 Beta Value to monitor price volatility or risk of an asset

Indicator to monitor price-volatility/risk of an asset.



Value	Meaning
β > 1	This company's share moves faster than sharemarket in both directions. High Reward: if SENSEX moves upward at 1x speed, this company will move at may be 1.5x speed. High Risk: If SENSEX falling at 1x speed, this company will fall at 1.5x speed. Usually Tech/Startup/small-cap companies show this behaviour.
β < 1	This company moves slower than SENSEX. Low risk, Low return.
β = 1	This company's share moves parallel to SENSEX.
β = 0	uncorrelated to the market. Mona-Lisa Painting: its value changes independently of SENSEX movement.
β less than 0	negatively correlated to the market. This asset moves in the opposite direction of the SENSEX. e.g. Bond/Gold. If SENSEX goes up, people will shift money from gold/bonds to shares so gold/bond will fall. (However, this is not always true in real life.)

MCQ. In the context of finance, the term 'beta' refers to _ _ (Prelims 23-SET-A-Q073]

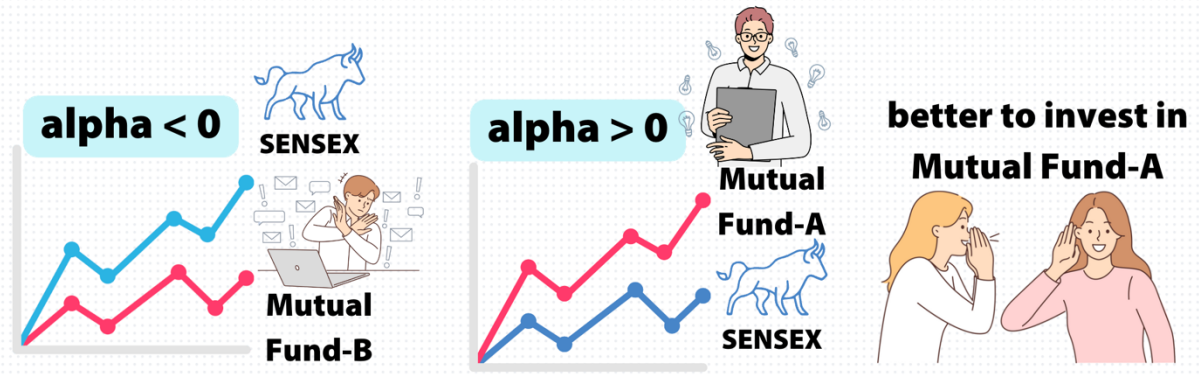
(a) the process of simultaneous buying and selling of an asset from different platforms

(b) an investment strategy of a portfolio manager to balance risk versus reward

(c) a type of systemic risk that arises where perfect hedging is not possible

(d) a numeric value that measures the fluctuations of a stock to changes in the overall stock market

16.24.2 Alpha value to compare performance of Mutual Funds



This indicator used mainly to compare a Mutual Fund / Hedge Fund manager's performance against a benchmark e.g. SENSEX

Value	Meaning
Alpha > 0	This MF gives better profit than SENSEX.e.g. if HDFC-MF has 2% Alpha. Means when SENSEX claimed 10%, then HDFC-MF gave 12% return.
Alpha = 0	This MF performing same as SENSEX
Alpha < 0	This MF gives less return than SENSEX

16.24.3 FAQ: Alpha vs Beta similarity / correlation / difference

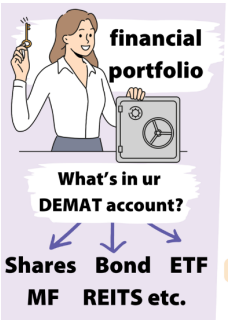
Term	Alpha	Beta
Usage	Mainly to compare performance of Mutual Funds.	Mainly to find volatility/risk of a share.

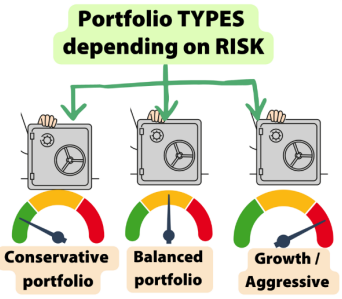
Beyond that we'll NOT PHD. UPSC is only asking one liner from here. We'll not spend more time.

16.24.4 Types of Analysis – fundamental vs Technical

	Fundamental Analysis	Technical Analysis
Investor studies what?	Company's profit, loss, balance sheet, new products-launch etc.	Share price related charts-graphs & mathematical-indicators e.g. Simple-moving-average of the share price for last 200 days (200-day SMA). More examples of indicators (listNOTIMP): Relative Strength Index (RSI), Stochastic Oscillator, Moving average convergence divergence (MACD) etc.
Suitable for	Long term Investor (longer than 1 year)	Intraday Trader (buy/sell within a single day) Swing Trader (buy/sell for few days or weeks)

16.24.5 DEMAT Portfolio: Meaning, Types, Portfolio Diversification





16.25: SEBI REFORMS TO REDUCE SCAMS IN SHAREMARKET?

16.25.1 Circuit breaker

⇒ Harshad Mehta (1992), Ketan Parekh (2001) arranged money from banks, used it for rigging the share prices. Once the prices crashed, small investors suffered.

⇒ To prevent such scams, SEBI introduced Circuit Breaker System, wherein if fluctuation in the share prices is more than "x%" than previous day, then stock exchange must stop trading for "y" minutes.

16.25.2 T+1 day Settlement instead of T+2 day

⇒ Badla System/Carry forward system: Buying of shares using borrowed money & making promises to carry forward the settlement for upto 72 days. scamsters misused (इसकी टोपी उसके सर पे: सौदा आज करते लेकिन पैसों का भुगतान/शेयर की डिलीवरी 72 दिनो बाद होती- और इस समय के दौरान वही घपलेबाज उन्ही शेयर बेचने की टोपी दूसरों को पहेनाते रहेता)

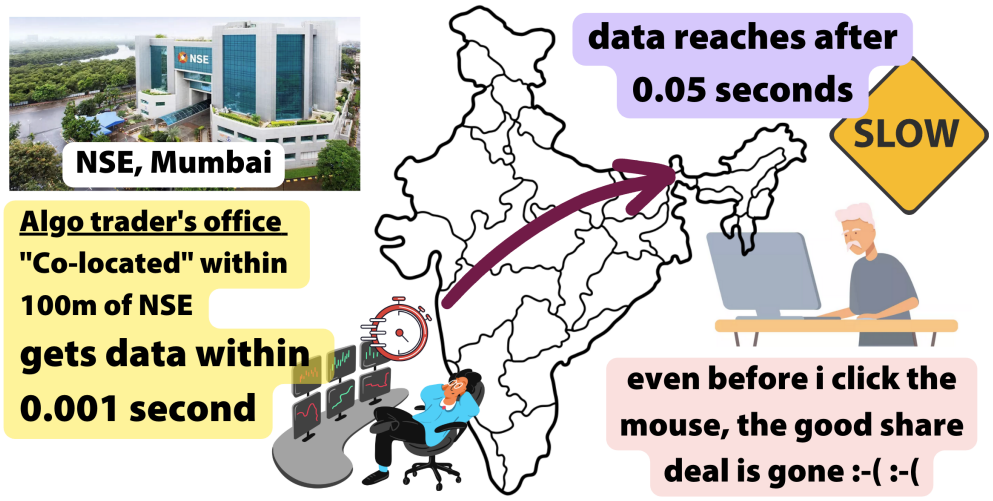
⇒ so SEBI discontinued Badla System (in 2001) & introduced (T+2) rolling settlement system i.e. after trade is conducted, the parties must settle it within two working days (= buyer pays money, seller deliver shares/bonds/securities).

16.25.3 T+1 hour & T+0 hour (instantaneous) settlement

Term	Meaning
T+1 hour	Within 1 hour, Payment-delivery concluded.
T+0 hour	also called instant/**instantaneous** settlement.

##Note: SEBI says we'll do X thing from Y date in 2025/26 etc, for for top-500 companies then SEBI postpone to Z date after pushback from trader-lobby so don't fuzz too much over date/month/years.

16.25.4 (Algo Trading & Co-Location / "Trading access point (TAP)" System case.



What does this mean? Explained in the video.
Also called "Trading access point (TAP)" System case.

16.25.5 🛒 (💻:👴💼:😈) Illegal Trading: Dabba-trading, Insider Trading, Front Running

⇒ **Dabba Trading / Bucketing / Box Trading:** While share trade occurs at stock exchange linked with DEMAT accounts, the Dabba Trades occur in the unofficial books/ledgers of an unscrupulous broker. He may or may not execute those orders in actual DEMAT account. Investor prone to scam, govt deprived of taxes. So, SEBI declared it illegal.

⇒ **Insider Trading (भेदिया लेनदेन):** Whenever company launches new products, wins unique patents, or undergoes merger/acquisition- its share prices may ⏫. If a person associated with company uses such confidential information for buying/selling shares to make windfall gains. Such insider trading is illegal.

⇒ **Front Running (illegal) :** e.g. LIC Mutual Fund manager Yogesh knew that LIC-MF was going to invest heavily in X company. So he bought the shares of that X company in advance in his personal account (to make profit when price rises after LIC-MF starts buying). SEBI banned him. Want2Phd? https://youtu.be/ajTZL1chho0?si=fWvH1MhOQ0xxi-Zm

🚩👶 FAQ by Zhande-walle Babushone: *what is the difference between insider trading and front running?? Can we say front running is a some type of insider trading?.* Ans. It is notimp. Remember them as one-liners, instead of comparing "A" vs "B". Move to next topic. थोड़ा-पढ़ो-आगे-बढ़ो.

16.25.6 🧯 Investor Protection Fund (IPF)

⇒ SEBI requires Stock exchanges (BSE, NSE etc) and commodity exchanges (NSEL, MCX etc) to setup Investor Protection Fund (IPF: निवेशक सुरक्षा कोष).

⇒ IPF covers investors' 'non-speculative' type of losses. e.g. if the other party is not delivering shares because of some court case. IPF also promotes investor education and awareness.

⇒ max. protection per investor is ₹25 lakh.

🚩👶 **FAQ if we've Central Counterparties (CCPs) then why is this fund required?** Ans. ok ask SEBI to shut it down. 1-linerGK hai. accept and move to next topic.

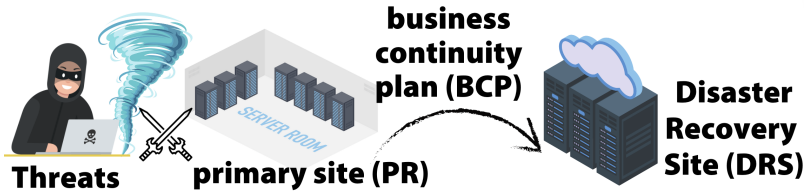
16.25.7 🧯 Settlement guarantee fund (SGF)

- Objective similar to the investor protection fund. But we'll not PHD.

- Stock exchanges, clearing corporations and brokers required to towards it.

16.26 SERVER CRASH PROTECTION

16.26.1 SEBI's BCP Plan & DRS Sites



- SEBI has designed business continuity plan (BCP) for market infrastructure institutions (MIIs) — i.e. (1) stock exchanges, (2) depositories, (3) clearing corporations.
- MII need to have a disaster recovery site (DRS). So when there is disruption in their server at the primary site (PR) → they'll move data/operations to the server at DRS site.
- 2024-March: Bombay Stock Exchanges (BSE) and the National Stock Exchanges (NSE) carried out mock drill / special trading sessions for this.

16.26.2 SEBI → LAMA - IT monitoring system/framework

- LAMA system helps Stock Exchanges, Depositories etc. to check their IT-system integrity on real-time basis. LAMA = Log Analytics and Monitoring Application. (Full form not imp)

16.26.3 IRRA Portal: Investor Risk Reduction Access (IRRA)

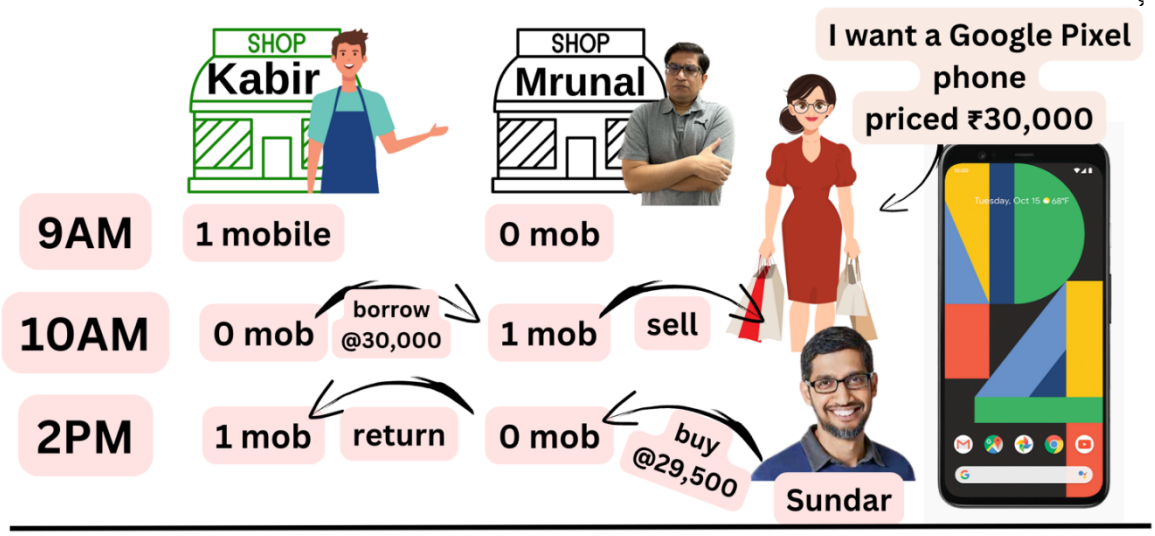
- is a platform that will act as a 'safety net' for investors during technical glitches/server errors.
- Helps Investor to cancel/close the trade to protect his money during server errors.
- Boss? jointly developed by all the stock exchanges – BSE, NSE, NCDEX, MCX and Metropolitan Stock Exchange of India (MSE)

16.26.4 ADANI HINDENBURG, FLASH CRASH, SHORT-SELLING (2023)

⇒ Hindenburg Research firm (USA) alleged that Adani was doing stock manipulation, accounting fraud, money laundering, taking too much loans beyond the capacity to repay etc. (HOW exactly? Ans. Notimp after observing PYQ.)
⇒ then investors panicked and started exiting Adani shares at loss.
⇒ Shareprice fell from ₹3500 (2023-Jan) to ₹1500 (2023-Feb). **Flash Crash** = term to describe sudden (and huge) fall in share price. e.g. Adani after Hindenburg report (2023)
⇒ Adani's supporters argue that Hindenburg spreading negative news to make the share price fall, to make profit thru short selling of Adani shares. (How? Explained in the next section:)
⇒ SC had setup Justice A M Sapre panel to investigate Adani share crash and other regulatory aspects for stock markets. **Its recommendations** = Refer to Mains-handout.

16.26.5 Short selling (make profit from falling share price)

⇒ Short selling occurs when an investor borrows a share (निवेशक शेयर उधार लेता है)
⇒ then sells it in the market (फिर बाजार में बेच देता है)
⇒ with hope to buy it back later for lesser price. (इस उम्मीद में कि बाद में उसे सस्ते दाम में वापस खरीद लेगा ताकि उसे मुनाफा हो जाए.)
⇒ See the graphics given. & watch video lecture for better understanding:



16.26.6 🦅👱 Adani pe Case in USA: Hague Service Convention for summons

- Adani had collected money from American investors and allegedly used it to pay bribe to Indian bureaucrats for the solar projects.
- 2024: American court started a case against Adani, under Foreign Corrupt Practices Act (FCPA)
- 2025: Trump paused FCPA Act for 180 days. So in a way, Adani got relief.
- Hague Service Convention (1965) helps a country to send judicial summons to an accused person staying in another country.
- 2025-March: Union Law and Justice Ministry forwarded a summons from the U.S. court to Ahmedabad sessions court to be served on Gautam Adani.
- 2026: Adani promised to invest $10 billion and create 15,000 jobs in the U.S.A so Trump Administration dropped the case.

16.26.7 🤦‍♀️Finfluencers:

⇒ Finfluencer is an influenzer, who gives advice on financial investments via social media.

⇒ Sometimes they give wrong advice on behest of share market scamsters. SEBI punishes them.

16.26.8 ARBITRAGE & RELATED CONCEPTS

16.26.9 📞 Bid-Ask Spread

Player	Jetha wants to buy at (Bidding price)	Bhide wants to sell at (Asking price)	Spread / Gap
WIPRO Share	600	800	₹200

- In above situation, the deal can't happen because the Bid-Ask Spread is high.
- Either buyer or the seller will have to make price-compromise, only then deal can happen.
- If bid-ask spread is HIGH = liquidity of the asset decreases. Bcoz it becomes difficult to sell.

16.26.10 📞 Arbitrage: Making profit due to difference in to markets/location.

Suppose….	Delhi	Mumbai	Arbitrage
Gold Price (10gm)	60,900	60,800	₹100

- In above example, a dealer can buy the gold from Mumbai and sell to Delhi and he will make a profit (arbitrage) of ₹100.
- nowadays the arbitrage in financial assets (share/bond etc) is very low due to online trading.

16.26.11 🎏 Yen carry trade & fall of Indian Sharemarket. (2024)

- Yen carry trade involves borrowing in a low-interest currency (yen) to invest in higher-yielding assets (e.g. Indian sharemarket).
- 2024: Japan's central bank → →loan interest rate profit margins   for Yen-carry traders So foreign investors started fleeing.
- Result? Heavy fall in the stock exchanges. Japan's Nikkei 225 Index (-12%), Indian Sensex (~3%), South Korea's Kospi (8%) etc.

16.27🛒 (🔪💳) Online Trading Platforms → G-Sec

16.27.1 🐯🛒 (🔪💳: 👴👨💼) G-Sec Trading- Retail investors' RDG @RBI

⇒ RBI launched "Retail Direct Scheme" in 2021.

⇒ Under this scheme, RBI permits "Retail Direct Gilt (RDG) account" for retail investors on its E-Kuber online platform. (आम निवेशक रिज़र्व बैंक में आरडीजी नामक खाता खोल पाएंगे)

⇒ Both Resident Indians & non-resident Indians (NRIs) can open this account. (गैर निवासी भारतीय भी)

⇒ Then Retail investors can directly buy Treasury Bills (T-Bill), G-Secs (of Union Government), State Development Loans (SDL are 'G-secs' of State Govts) and Sovereign Gold Bonds, from RBI directly. (आम निवेशक सीधा रिज़र्व बैंक से इन प्रतिभूतियों को खरीद सकता है.)

⇒ Application fees to open the account = ₹ ZERO. Note: Retail investors can also invest in G-Sec/T-bill indirectly via Mutual Funds It is not banned. But if retail investors want to buy directly from RBI- then they've to goto RBI's RDG/e-kuber.

⇒ 2024: RBI said it'll launch a mobile app for this.

– 🤩**Benefit?** 1) Earlier retail investors bought G-sec "indirectly" through mutual funds wherein mutual fund manager (MF) charged commission/fees. Now retail investor can buy directly so does not have to pay such commission/fees to MF managers. (बिचौलियों को दलाली/कमीशन नहीं देना होगा)

– 🤩2) Deepening of G-Sec market through ⏫retail participation (बाजार की जड़ों को गहरा करेगा)

16.28🐯🛒 (🔪🚃: 👴👨💼) G-SEC TRADING: RBI'S NDS-OM, OTC

⇒ RBI owns and regulates Negotiated Dealing System (NDS) for trading in G-Sec.

⇒ Clearing Corporation of India Limited (CCIL a company founded by SBI, IDBI, ICICI, LIC etc) maintains this system.

⇒ NDS system for recording the transactions of G-Sec buy-sell. NDS has following components:

Telephonic	i.e. buyer/seller call each other on the telephone, make the deal about buying and selling and then inform the RBI's NDS system *(ke we've done this deal).*
Over-The-Counter (OTC)	Buyer physically walks into the seller's office (or vice versa) and conducts the transaction. Later they report transactions to RBI's NDS System *(ke we've done this deal).* (ऑफ़िस में रूबरू मिलके ख़रीद-बिक्री करेंगे, बाद में रिज़र्व बैंक को सूचित करेंगे)
NDS-OM	Negotiated Dealing System-Order Matching system (NDS-OM): electronic, computer screen based, anonymous, order driven trading system for dealing in G-sec's secondary market. Buyer-seller places orders online without knowing names/phone numbers of each other. (ख़रीददार और विक्रेता एक दूसरे की असली नाम पहचान नहीं जान पाएंगे)

🚩👶**FAQ: Then what is E-Kuber?**

⇒ Ans. E-Kuber is the core banking solution (CBS: REF Pillar1A1) platform of RBI to digitally handle all operations of RBI e.g. NEFT-RTGS, Repo, MSF, CRR, PSLC certificate trading, G-Sec, Sovereign Gold Bond, Retail Direct Scheme (RDG) etc.

⇒ You may think of E-kuber as a Windows Operating system, & NDS as a sub-component/excel-software inside of it that handles G-Sec buying-selling database management/account keeping.

🔠❓ **MCQ. Find correct statement(s): (Asked in Prelims-2021)**

1. Retail investors through demat account can invest in 'Treasury Bills' and 'Government of India Debt Bonds' in primary market.
2. The 'Negotiated Dealing System-Order Matching' is a govt securities trading platform of the Reserve Bank of India. [NDS-OM सरकारी प्रतिभूतियों में खरीद बिक्री करने के लिए रिजर्व बैंक द्वारा बनाया गया मंच है]
3. The 'Central Depository Services Ltd.' is jointly promoted by the Reserve Bank of India and the Bombay Stock Exchange. [CDSL को रिजर्व बैंक और बॉम्बे स्टॉक एक्सचेंज द्वारा संयुक्त रूप से बनाया गया था]

Codes: a) 1 Only b) 1 and 2 c) 3 Only d) 2 and 3

16.29📦👩‍👦👶 INVESTMENT FUNDS ⟶ MUTUAL FUND (MF) FOR *AAM-AADMI*

Figure 3: swag से करेंगे 'middle-class' का 'स्वागत' । Observe colors in logo, meant for attracting ordinary crowd

⇒ Mutual Fund is an Asset Management Company (AMC-NBFC) that pools savings of (retail) investors and gives them "Units".

⇒ MF Manager parks this money in securities & builds his 'portfolio'.

⇒ Whatever dividend/ interest is generated from the portfolio, it is distribute among investors in the proportion of their units.

⇒ Investor pays **Entry Load** (= fees for joining), **Exit Load** (= fees while quitting).

⇒ Due to low deposit rates in banks, people invested money in mutual funds however post-IL&FS crisis, corona crisis, charm declining because mutual funds are subject to such market risks.

⇒ **"Side pocketing":** SEBI 's guidelines to help MFs to separate their IL&FS type stressed/toxic assets from their standard assets. Helps protecting the investors. ~~How?NOTIMP.~~

16.29.1 MF → Hybrid mutual funds

Type of MF	Invests money in
Equity-MF	Shares.
Debt-MF	Bonds, G-Sec, T-Bill etc. Short-term and long-term Bonds instruments
Hybrid-MF	Shares and Bonds both types.
Multi-asset	Shares, Bond & Gold.

16.29.2 MF: Open ended vs Close ended

Type	Open ended	Close ended
size of the fund	unlimited, everyone welcome.	fixed e.g. 50 cr fund. Manager will not accept more money once it is filled.
client can subscribe	whenever he wants	there is closing date, after which MF- manager will not accept money.
maturity	none.	Fixed maturity period e.g. 5 years

16.29.3 MF: Lumpsum (One-off) vs SIP

Type	One-time / one-off /lump-sump	Systematic Investment Plan (SIP)
client contributes ₹ →	only 1 time . (बस एक ही बार पैसा जमा करता है)	regular basis e.g. Monthly (नियमित रूप से बार बार पैसा जमा करता है)

16.29.4 Mutual fund → ESG, Shariya Mutual Funds

⇒ **ESG Mutual Funds=** These mutual funds will invest clients' money in companies that have good performance on Environmental, Social, And Governance (ESG) aspects.

⇒ **Shariya Mutual Fund=** These mutual funds will invest clients' money in companies that are compliant with Islamic Shariya law. E.g. They will **not** invest in alcohol, pork, gambling etc related companies.

16.29.5 Mutual fund → SIP, ELSS, ULIP

⇒ **Traditional Mutual Fund** = client invests entire amount at once. एक साथ पूरी रकम जमा करानी होती है

⇒ **Systematic Investment Plan (SIP)**= Mutual fund wherein client deposits small-small fixed amounts at fixed interval e.g. month basis etc. ग्राहक छोटी-छोटी किस्तों में रकम जमा करवाता है

⇒ **Equity Linked Savings Scheme (ELSS)=** It is a sub-type of mutual fund where money is locked in for 3 years and invested in equities (shares). It's eligible for certain benefits in Income Tax.

⇒ **Unit linked insurance policy (ULIP)**= client invest money in a scheme wherein → (1) some ₹₹ goes into Mutual Fund (2) some ₹₹ goes into insurance policy (Ref: HDT-Pillar#1D)

16.29.6 📦👨‍👦👶 Mutual fund → 🎛️ Mutual fund risk-o-meter

⇒ SEBI requires mutual fund company to disclose how much risk is present in their scheme, on a monthly basis, thru a digital dashboard called 'risk-o-meter'. (कितने जोखिम पूर्ण तरीके से निवेश कर रहा है)

⇒ It shows 6 categories of risk: low, low to moderate, moderate, moderately high, high, (#)very high risk. (#) SEBI added this new category 'very high risk' in 2020-Oct.

⇒ This helps the investor to make decision- which Mutual fund he wants to joins depending on his risk appetite. (उस हिसाब से निवेशक तय करें उसे कौन से सलामती पूर्ण या जोखिमपूर्ण म्यूचुअल फंड में जाना है.)

16.30 📦👨‍👦🤵 Investment Funds → Hedge Fund (हेज फण्ड) for rich-aadmi

BRIDGEWATER AQR CAPITAL MANAGEMENT NATIXIS GLOBAL ASSET MANAGEMENT CAPITAL GROUP™ MARSHALL WACE

*Figure 4: Swag से **नहीं** करेंगे 'middle-class' का 'स्वागत'। Observe 'premium' logo-designs to attract rich people*

⇒ Special type of Mutual Fund meant for HNI (High Net Worth Individual) who wants high risk high return. SEBI norms: Minimum investment per person is ₹1 crore. (सिर्फ अमीरों के लिए है)

⇒ Hedge Fund manager will invest their money in Junk Bonds, Risky assets; he'll do risky trading activities such as Arbitrage, Leverage, Short Selling, Future&Options(F&O) trading, Derivatives Trading etc. to generate maximum return. ~~(how is that done in real life, what do these words mean? = UPSC-CSE not for recruitment of HF managers.)~~

16.30.1 📦👨‍👦🤵 Investment Funds: "Accredited Investor"

Deleting from handout. I'm not finding it exam-worthy anymore.

16.30.2 📦🤵🏢✈️ Investment Funds → REITs / InvITs: for *rich-aadmi*

	REITs: Real Estate Investment Trusts - (भू-भवन-संपत्ति निवेश न्यास)	InvITs: Infrastructure Investment Trusts-(अधिसंरचना)
Who can invest?	Min. ₹50,000##	Min.₹1 lakh
Manager parks the money in?	in real estate projects that are soon to complete. He'll earn income from rent / sale.	In airport, highway, thermal plants, gas grid etc. He'll earn from toll collection at highways, services fees at airports etc.
Example	Blackstone-Embassy group	IRB, India-grid

✅**Benefits of REITs and InvITs-**

✓ Stressed developer gets new finance to finish the project while HNI gets new opportunity to invest his money, and he may also sell the units to third party via stock exchange.

✓ SEBI permitted these instruments in 2014.

✓ **2026:** RBI has permitted the bankers to give loans to REITS and INVITS.

##(Note: these numbers keep changing. Enough to know- these are for rich people.)

16.30.3 📦👨‍👦👸 Investment Funds → Sovereign Wealth Fund (संप्रभु धन कोष)

⇒ State owned investment fund, wherein central bank, finance ministry and other public sector

financial intermediaries park their surplus fund. →money used for investment.

⇒ E.g. 2020-Jun: Abu Dhabi Investment Authority (ADIA) bought 1.16% of Reliance Jio for ₹5600+cr. Singapore's GIC sovereign wealth fund, Qatar Investment Authority (QIA) also active in Indian market.

⇒ What is National Investment & Infrastructure Fund (NIIF) Ans. Ref: Pillar#5: Infrastructure

16.31 📦🏛️ Investment Funds → CPSE-Exchange Traded Funds (ETF: ईटीएफ)

⇒ **Disinvestment** (**विनिवेश**): government sells it shares from Central Public Sector Enterprises (CPSE: केंद्रीय सार्वजनिक क्षेत्र के उद्यम) but does not reduce its shareholding below 51%.

⇒ If Govt's shareholding reduced below 51%, then it is called **Privatization** (निजीकरण), although NITI prefers the term '**Strategic Disinvestment**'. (*More in Pill#2)*

⇒ 2014: Govt wanted to disinvest 10 CPSE (ONGC, GAIL ltd etc). If govt tried to sell individual company- shares, it would be more time consuming, and govt may not get good prices for each company.

⇒ So, Govt gave CPSE-shares to a fund manager Goldman Sachs - who created new securities out of it, called "Exchange Traded Funds (ETF)", and made a "New Fund Offer (NFO)" to the public to subscribe to these securities at ₹ 10 per unit.

⇒ If an investor holds the ETF → he will get returns from the dividend generated by those CPSE-companies in the backend. He may also sell these ETF to a third party via stock exchange, hence called **Exchange Traded Funds**.

⇒ **BHARAT-22:** Another such CPSE-ETF

16.31.1 (🦁🔪)📦: (🏛️🛒🤝) Bharat Bond (Debt) ETF (2019)

Similar to above thing but instead of shares, it has govt owned companies bonds.

16.31.2 (🦁🔪)📦: (🏛️🛒🤝) CPSE-ETF vs Mutual Fund

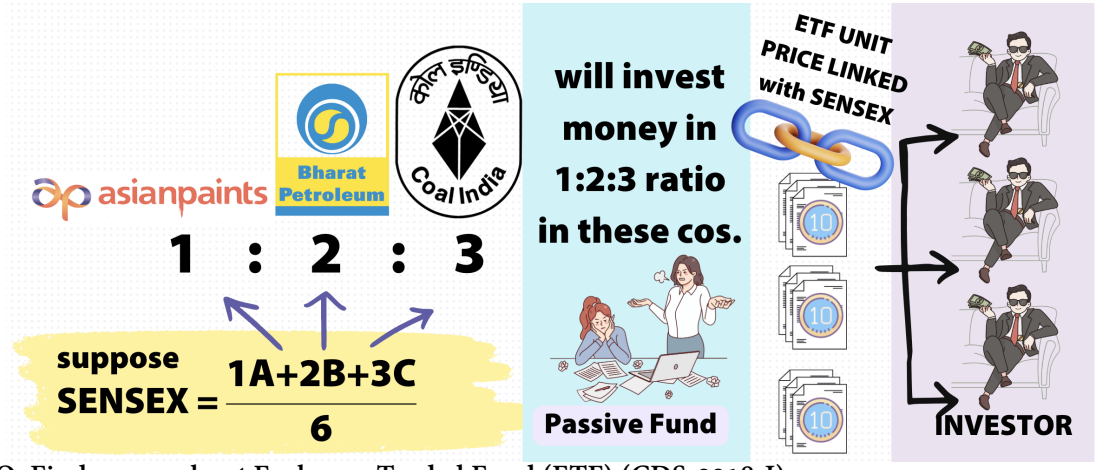
Table 1: Sad that I've to spoonfeed this much

Mutual Fund	CPSE-ETF
Objective = invest clients' money in shares/bonds	Objective different than Mutual Fund (1) help Government for its disinvestment (2) help Government company to borrow money (Bharat-Bond ETF)
fund managers may buy/sell variety of shares and bonds of Government companies and private sector companies for best returns through out the scheme.	He's not doing that. His objective given above.
a fund manager may also change the composition of the portfolio for example if Infosys shares are not performing well → he may sell them and fill up the box with Wipro shares for better dividend.	His portfolio (list of govt companies' shares/bonds) is fixed. It'll not change.
manager charges higher fees	lower fees.

16.32 INDEX-ETF: A TYPE OF PASSIVE FUND

They collect client money and invests in the companies in a proportion to the stock-exchange weight assigned to those companies.

Fund	Index-ETF	Mutual Fund
Managed	Passively. Manager will mechanically invest money into an external indicator/index/asset without applying Brain. e.g. Index-ETF (see next section).	Actively. Manager will apply the brain before investing clients money. e.g. a mutual fund manager will decide whether to invest in Adani or reliance after checking their balance sheet and future expected profits.
Fees	less	more
Liquidity	higher/easier	lower/slower
Can be resold in secondary market?	Yes	difficult for close-ended MF with fixed maturity period e.g. 3 years.



MCQ. Find wrong about Exchange Traded Fund (ETF) (CDS-2018-I)

(a) It is a marketable security. (b) It experiences price changes throughout the day.

(c) It typically has lower liquidity and higher fees than mutual fund shares.

(d) An ETF does not have its net asset value calculated once at the end of every

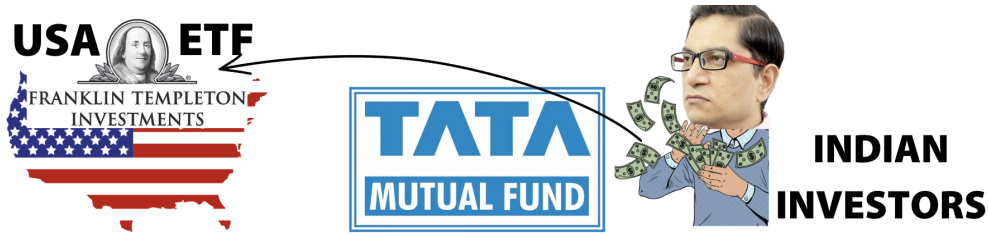
16.33 BITCOIN ETF APPROVED IN USA (2024)

- Case similar to above ETF, the fund manager will buy bitcoin and issue ETFs to investors. If Bitcoin price increases then ETF price will increase.
- How does it work? Ans. Explained in video lecture. I am not typing the entire movie script here, otherwise handout will become very long.
- 2024: USA's share market regulator i.e. Securities and Exchange Commission (SEC) approved Bitcoin ETF. (India has not yet approved.)

16.33.1 Overseas ETF: temp-ban on Indian MF by SEBI (2024)

- Unrestricted outflow of money from Indian economy can cause crisis in ₹-$ currency exchange. So RBI has legal powers to impose restrictions under FEMA Act (Foreign Exchange Management Act 1999)(Ref: Pillar#3)

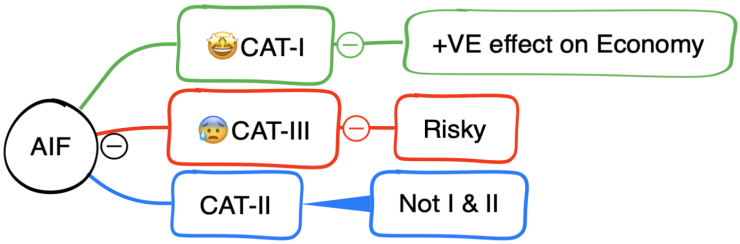
- e.g. RBI ordered- Indian Mutual funds (MF) cannot invest more than $1 billion in overseas exchange traded funds (ETF).
- 2024-Apr: Indian MF reached 95% of this quota/ceiling. So SEBI ordered MFs to temporary stop accepting more money from investors.



16.33.2 🥇 Gold ETF (legal) vs Digital Gold Apps (not regulated)- SEBI warns (2025)

example	Gold ETF	Digital Gold
e.g.	Axis Mutual Fund ➡ Gold ETF	Not regulated by SEBI. SEBI warned risky.
mecha-nism	Axis-MF keeps XXX kilo golds. And issue ₹100 x 30,000 paper ETF-units.	Startup Apps / scammers promise to collect ₹ 100–100 from each investor with promise of giving returns linked to gold prices.
Profit?	If gold price ↑ from ₹1L to ₹1.50 lakh then your ETF ↑ from ₹100 to ₹150.	Risky. Bcoz not regulated by SEBI. Scammer may run away.
Re-sell	You can resell it in stock exchange.	N/A

16.34 📦 Investment Funds → Alternative Investment Funds (AIF)



It's a technical classification by SEBI (वैकल्पिक निवेश कोष)

- **AIF Category I:** They generate positive spillover effects on the economy. Example: Venture Capital Funds, Angel investors fund, SME Funds, social venture fund, Infrastructure funds. SEBI keeps relaxed / lighter norms on them. जो कि अर्थतंत्र में सकारात्मक असर उत्पन्न करते हैं
- **AIF Category II:** Neither in Cat-1 nor in Cat-3 E.g. Private Equity or Debt Fund. जो ना तो ऊपर की श्रेणी में है ना नीचे की श्रेणी में है
- **AIF Category III:** They undertake excessive risk to generate high returns in short period of time. E.g. Hedge Funds, PIPE Funds. SEBI norms are stricter/heavier on them, because otherwise they may destabilize the capital market. जो कि अर्थतंत्र में जोखिम बढ़ाते हैं, नकारात्मक असर उत्पन्न करते हैं

🔠 ***MCQ. How many of these are treated as Alternative Investment Funds?: (Pre'25)***

I. Bonds II. Hedge Funds III. Stocks IV. Venture Capital

Codes: (a) Only one (b) Only two (c) Only three (d) All the four

16.35 ⏱️ Forward / Future Contracts & Call / Put Option

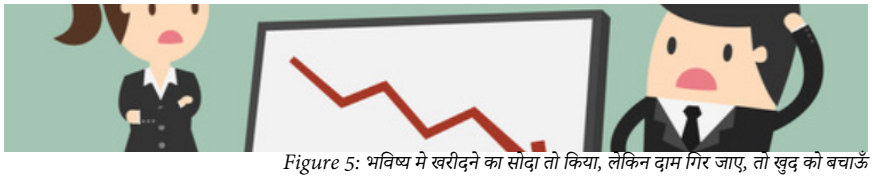


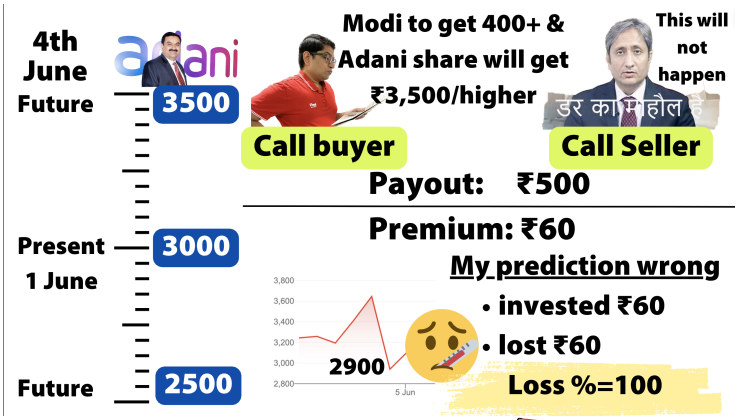
Figure 5: भविष्य मे खरीदने का सोदा तो किया, लेकिन दाम गिर जाए, तो खुद को बचाऊँ तो कैसे?

- A Forward / Future contract is a customized contract between two parties where settlement takes on a future date at a price/quantity agreed upon today. E.g. *on 1/5/2025 I shall sell you 100 nos. of Infosys shares at ₹1000 each.*
- In such contracts, there is a risk of other party not honoring commitment if he's getting better deal elsewhere in the future. So, for protecting (=hedging) themselves, they (=buyer or seller) may buy "Option" from a third party by paying fees. नुकसानी से बचने के लिए बीमा लिया जाए
- Option is a type of insurance for executing the forward/future contract in a manner beneficial to them e.g. I'll sell you for ₹1000 on X date, & you must buy, but if I'm getting another buyer who is willing to pay ₹1500 then I may not sell you & you can't compel me.
- Such 'insurance options' are further subdivided into **Call Option and Put Option**, their internal difference & real-life mechanism not imp. for UPSC. (Still if u want to learn more, watch my Youtube Video: https://youtu.be/-2XHMvCiyQo?si=_aBi1-c6pGNxB4rl)
- Hedging = Act of purchasing such options/insurance to prevent your losses.

🔠❓ **Which one of the following terms is used in Economics to denote a technique for avoiding a risk by making a counteracting transaction? [UPSC-CDS-2016-I]**

(a) Dumping (b) Hedging (c) Discounting (d) Deflating

16.36 🌱🌴✋ Over-financialisation & Sachetisation



16.36.1 🌱🌴✋ Sachetisation of F&O Market not good - says 📕ES24:

Sachetisation refers to the process of making products available in smaller/ more affordable packets so even poor people can buy it. (सेचेटीकरण = किसी उत्पाद को छोटे पैकेट में उपलब्ध कराना, ताकि ग़रीब भी ख़रीद सके।)

Product	minimum size to buy	satchetization happened?
clinic plus shampoo	₹1 sachet	Yes, poor can afford to buy.
Mutual Fund	₹100-250	Yes
Hedge Fund	₹1 cr	No. SEBI doesn't want poor to loose money in high risk. That's

Product	minimum size to buy	satchetization happened?
		why ₹1 cr requirement.
Future Option (FnO) Market	Discount-Brokers (e.g. Zerodha) allow poors to open account even if they've annual income of barely ₹1.20 lakhs.	Yes.

satchetization:

making product affordable for poors

📕ES24: There is a need to reduce the sachetisation of F&O trade. Because

- Huge losses can occur in minutes if market predictions fail.
- **SEBI** reports 9 out of 10 F&O traders lose money. Yet Poor people are participating without understanding. They just gamble based on random tips from online finfluencers.
- Want2Phd? https://youtu.be/-2XHMvCiyQo?si=_aBi1-c6pGNxB4rl

🔠 ***MCQ. Find correct: (Pre'25)***

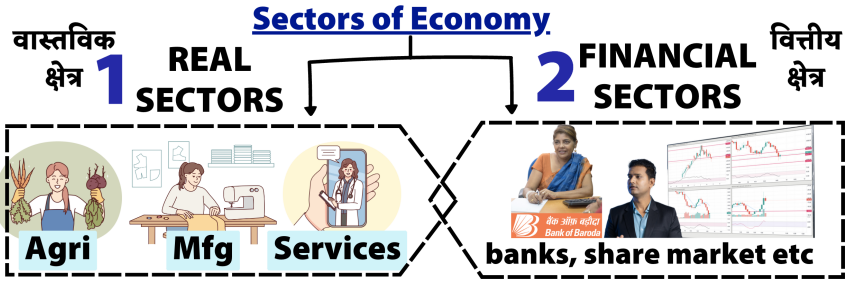
- *I. India accounts for a very large portion of all equity option contracts traded globally thus exhibiting a great boom.*
- *II. India's stock market has grown rapidly even overtaking Hong Kong's at some point of time.*
- *III. **There is no regulatory body** to warn the small investors about the risks of options trading.(यानी की सेबी नाम को कोई संस्था नहीं है!)*

Codes: (a) I and II only (b) II and III only (c) I and III only (d) I, II and III

16.36.2 🦹 Jane Street ₹4000+ cr scam in F&O Market

- Jane Street is a share trading firm from the USA.
- Jane Street is accused of manipulating the F&O (future and option) trading market and making over ₹4000 cr of unlawful profit
- SEBI banned Jane Street → Jane Street paid fine/penalty to SEBI → SEBI allowed it to resume.

16.36.3 Sectors of economy: real sector vs financial sector

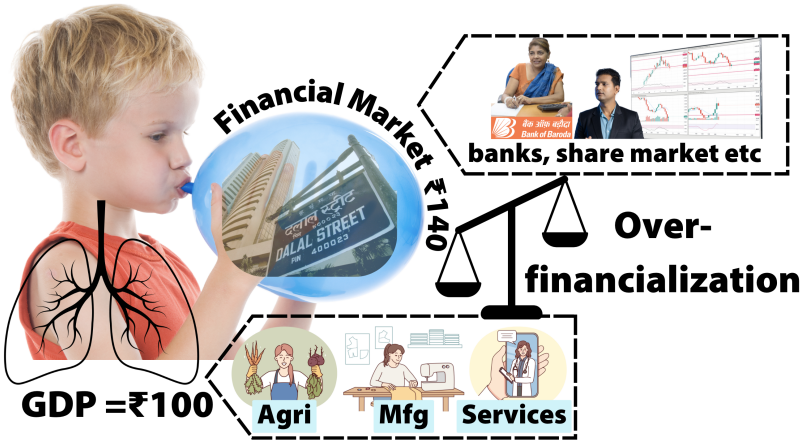


🔠 *MCQ. Which are real sector in the economy ? (Pre'2022)*

(1) Farmers harvesting their crops (2) Textile mills converting raw cotton into fabrics

(3) A commercial bank lending money to a trading company
(4) A corporate body issuing Rupee Denominated Bonds overseas
Codes: (a) 1 and 2 only (b) 2, 3 and 4 only (c) 1, 3 and 4 only (d) 1, 2, 3 and 4

16.36.4 🎈🎈 Over-financialization / Excess market capitalisation is dangerous says 📕ES24:



- It refers to a situation where the financial sector (banks, stock markets, financial services, etc.) becomes disproportionately large relative to the real economy (=GDP).
- India's market capitalisation (as a % of GDP) far higher than that of other emerging market economies like China and Brazil.

Financial Year	2018–19	2024-Mar	2024-May
India's Market Capitalisation to GDP Ratio (%)	77%	124%	140% of GDP ₹415 lakh crore ($5 trillion dollars).

This is not necessarily a sign of economic advancement or sophistication.

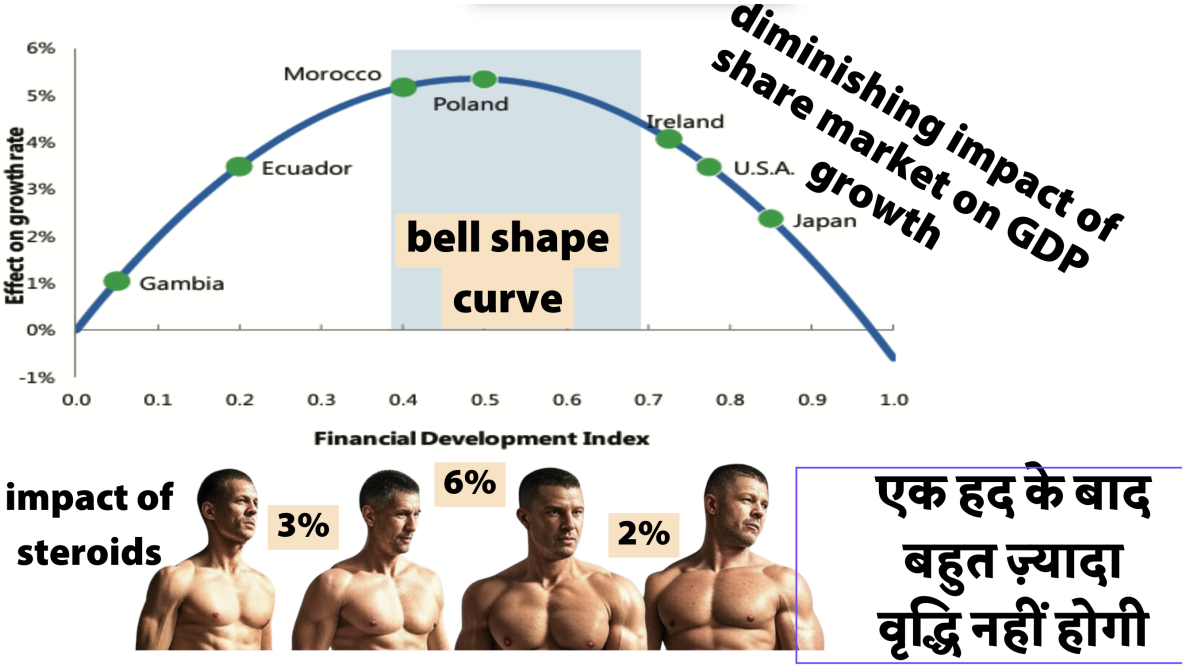
- These Financial assets (shares/bonds/bankers' loans) are ultimately claims on real goods and services in one way or another.
- So, if financial-sectors' claims on the real sectors' are excessively high, it is a harbinger of market instability rather than market resilience.
- It can create following problems:
- massive economic crisis e.g. Asian crisis of 1997–98, Subprime crisis of 2007–08 → Reduced capacity for sustainable long-term growth.
- increased inequality bcoz sharemarket players will make unreasonably high amount of money than normal people in normal jobs.
- Excessive financial speculation (e.g. future options trading where 9 out 10 ppl loose money.)

16.36.5 📍 Over financialisation damages productivity cautions 📘ES25:

Excessive financialisation damages the productivity. Because

- More number of talented youth opts for financial sector careers (e.g. investment banker) rather than real sector jobs (e.g. Mechanical engineer designing new electric car).
- money is moving in the financial sector (complex trading in future-option market) rather than in the real sector (e.g. designing new CPU)
- Creates complex products whose risks are not apparent to the regular consumer. (e.g. Future-Option Trading)

- Money goes into high collateral–low productivity projects. (e.g. Bonds of Real Estate Companies.)



16.36.6 📍🔔 Bell- shaped relationship: financial sector impact on GDP Growth - 📘ES25:

- incremental increase in the financial sector can improve the GDP growth to what level?
- yes- for under-developed and developing countries such as Gambia, Ecuador and Morocco
- not so much for developed nations, such as Ireland, the USA, and Japan.
- But if weak SEBI / poor regulation then possible that developing economy (nations to the left of the bell curve) reach a point of over-financialisation, which will harm their growth.
- we should strive to maintain the fine balance between financial sector development and over-financialisation on the other.

16.37💳🔗 Derivatives & Swaps (व्युत्पन्न प्रतिभूतियां और अदला-बदली)

⇒ A **derivative** is a contract whose value is derived from the value of another underlying asset which could be a share, bond, commodity or currency. प्रतिभूति का मूल्य किसी और संपत्ति से उद्भवित

⇒ e.g. Future option contracts, call option, put option etc (ref "Short-selling" in previous sec)

⇒ They're may also be generated by the process of '**securitization**'. E.g. NHB taking loan papers from banks, using them to generate new Mortgage Backed Securities. (प्रतिभूतिकरण की प्रक्रिया)

⇒ **SWAP**: is derivative instrument to swap one financial asset with another financial asset (usually) to reduce the risk e.g. Currency Swap Agreement between two countries to protect themselves against dollar volatility (more in 📄Pillar#3).

⇒ **Similarly, there are Credit Default Swap (CDS) agreement** against the risk of default, **Interest swap agreement** to protect against volatility in interest rates. ~~But their mechanisms NOT IMP.~~

16.38👻🔗📦 Derivatives ➡ Participatory Notes (P-Notes: पार्टिसिपेटरी नोट्स)

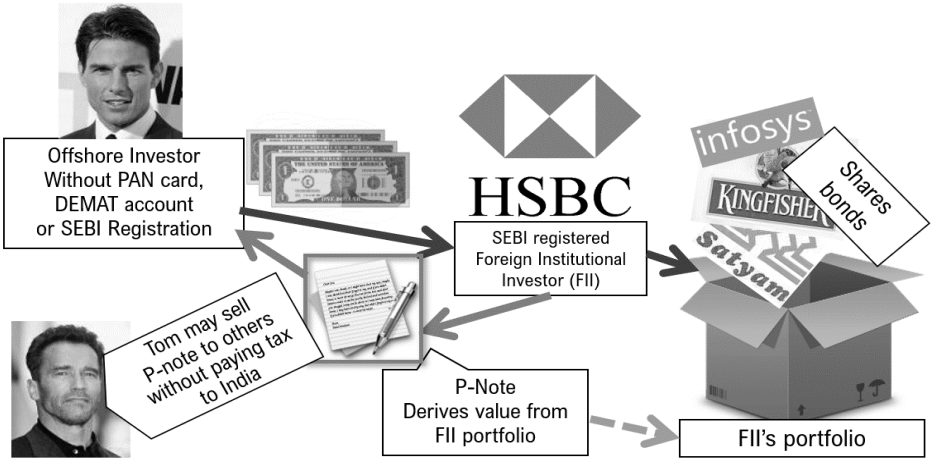
⇒ A foreigner wishes to **invest** his money in India but does not want to go through the hassles of registering with SEBI, getting PAN card number, opening a DEMAT account etc. So, he will approach a SEBI registered foreign institutional investor (FII) / foreign portfolio investor (FPI)

such as Morgan Stanley, Citigroup or Goldman Sachs. He'll pay them & instruct them to purchase particular shares and bonds and store them in their Demat account.

⇒ Then FII will give him P-Notes, and he'll receive interest and dividend accordingly.

⇒ He may also sell those P-notes to a third party. (किसी अन्य व्यक्ति को भी बेच सकता है)

⇒ P-Notes are **Offshore Derivative Instruments** that derive the value from the underlying Indian shares and bonds. (अपतटीय व्युत्पन्न उपकरण)



😱**P-Notes are harmful for Indian economy because:**

⇒ P-note investors are not directly registered with SEBI. Identity of the actual investor, source of funds remain disguised= chances of Tax evasion, money laundering, terror finance (इसके निवेशक ने स्वयं सेबी में पंजीकरण नहीं करवाया वह पैसा किधर से लेकर आया यह सब जानकारी नहीं मिल पाती, कर चोरी, काले धन को वैध बनाना,आतंकी वित्तपोषण)

⇒ If P-Note owner sells his P-Notes to another foreign investor, Government of India may be **deprived of taxes**. (Compared to a scenario where Indian share owner is selling his shares to another Indian investor at profit, then government gets securities transaction tax and capital gains tax on his profit, & he can't dodge it because DEMAT accounts linked with PAN card. *More on PAN card@Pillar#2 → BlackMoney*)

Therefore, SEBI tightening the control P-Notes e.g. "X" category of FPIs can't issue P-Notes. "Y" category of FPI can issue P-Notes but they'll have to deposit $1,000 to SEBI etc.

Table 2: Sad that even for such simple things I've to create such spoonfeeding-tables just to prevent FAQs from weak students

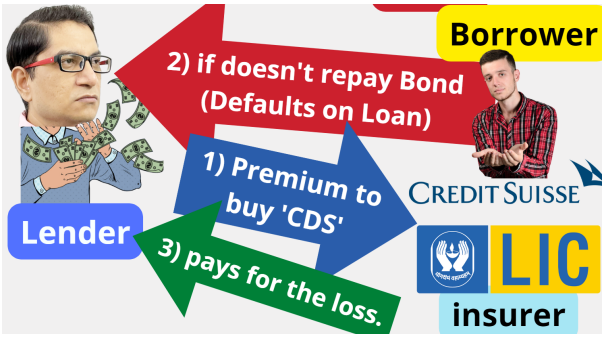
P-Notes	Foreign investor wants to invest in Indian share/bond market without registering with SEBI. He wants to buy Indian companies' shares/bonds in India. **फिरंगी आदमी भारत की कंपनी में निवेश करना चाहता है लेकिन सेबी से पंजीकरण नहीं करवाना चाहता**
Bharat-DR	Foreign Company wants to Indian to invest in its foreign/firangi-shares, without registering with SEBI. **फिरंगी कंपनी अपनी कंपनी के शेयर्स भारतीयों को बेचना चाहती है लेकिन सेबी से पंजीकरण नहीं करवाना चाहती**
ADR/GDR	Non-American Company wants to American people to invest in its shares without registering with American SEBI. **गैर-अमेरिकी कंपनी अपनी कंपनी के शेयर**

	अमरीकी जनता को बेचना चाहती है लेकिन अमेरिका के शेयरबाजार नियंत्रक से पंजीकरण नहीं करवाना चाहती. GDR- similar concept, refer to respective segment.
Masala/Panda/ Kangaroo Bonds etc	Foreign company/org wants to borrow money, in a particular currency from a particular country. Refer to respective segment

🔠❓ **_____ is issued by registered foreign portfolio investors to overseas investors who want to be part of the Indian stock market without registering themselves directly? (Pre-2019)**

(a) Certificate of Deposit (b) Commercial Paper (c) Promissory Note (d) Participatory Note

16.38.1 🔪(👴💼🏦) Credit Default Swap (CDS)



⇒ CDS is an instrument to protect the lender/bond investors from the loan default by the borrower

⇒ PS: LIC is not 'insurer' in this case. I've used its logo only for easier visualisation.

⇒ Topic was in news, due to some scam involving a Swiss Bank "Credit Suisse"

16.38.2 Currency Swap

e.g. Central Bank of Japan and Indian RBI signed agreement to help each other upto *$75 billion* in dollar currency, during currency-exchange/balance of payment related crisis (Ref: Pillar#3 for more.)

🔠 ***MCQ. Which of these are financial instruments?(Pre'24-Set-C-Q54)***

- *1. Exchange-Traded Funds (ETF) 2. Motor vehicles 3. Currency swap*
- *Codes: (a) 1 only (b) 2 and 3 only (c) 1, 2 and 3 (d) 1 and 3 only*

16.39 🌽🏀🏦🤝 Commodity Market, FMC, SEBI merger

- A commodity market / exchange (वस्तु बाजार) is a place where buyers & sellers trade goods in bulk - food grains, cotton, precious metals or energy resources (coal, oil gas)
- "Commodity Futures": Type of contract for future delivery and settlement of commodity e.g. "on 1/5/2021, I shall deliver you 500 quintals of wheat at X price".
- Commodity exchanges were under a statutory regulator Forward Market Commission (FMC) under the Ministry of Consumer Affairs and Public Distribution.
- But Jignesh Shah generated fake receipts without any commodities in the warehouses & traded at NSEL-commodity exchange. FMC failed to prevent scam. (एक कांड हो गया था)
- So first FMC transferred to Finance Ministry and FMC ultimately merged with SEBI (2015).

16.39.1 💍🎖️🏦🤝Commodity Market: Gold exchanges & 💼Budget-2021

⇒ Gold exchange is a special type of commodity market devoted only to Gold trading.

⇒ 💼Budget-2021: We will undertake reforms in the regulation of gold exchange markets in India.

1) SEBI will be the regulator

⇒ 2) Warehousing Development and Regulatory Authority (WDRA- Statutory body under Dept of Food and Public Distribution) Will be responsible for Warehousing/Vaulting, Assaying, Logistics of gold exchanges. (भंडारण, गुणवत्ता परीक्षण, रसद के मामलों की जिम्मेदारी)

16.39.2 Commodity Market: Electronic Gold Receipts (EGRs)

- **Stage1**: Gold companies deposit their gold in the warehouses authorized by Warehousing Development and Regulatory Authority (WDRA, it is a statutory body under Ministry of Consumer Affairs, Food & Public Distribution.)
- **Stage2**: Warehouse manager generates Electronic Gold Receipts (EGRs).
- **Stage3**: EGR are listed on the SEBI regulated electronic gold exchanges. → Buyer can buy the gold electronically and be assured of the quality. Later he may even sell this EGR to another investor or he may goto warehouse to collect physical gold.

Benefits: 1) Assured quality. 2) Tax evasion is difficult due to online transactions monitored by SEBI. इसे ग्राहक को स्वर्ण की गुणवत्ता के बारे में सुनिश्चित होगी। कर चोरी मुश्किल होगी क्योंकि ऑनलाइन खातों की निगरानी होगी.

16.39.3 Commodity Market: India's first bullion exchange (2022)

India International Bullion Exchange (IIBX) is India's first bullion exchange @ GIFT City, Gujarat.

⇒ Bullion refers to physical gold and silver of high purity stored as coins, biscuits or bricks (ingots).

⇒ A bullion market/exchange is a place where large quantity of gold and silver is traded for 24/7 basis. (बुलियन मार्केट ऐसा स्थान है जहां बड़ी मात्रा में सोने और चांदी का दिनरात अविरल कारोबार होता है।)

16.40 Tax on Investment / financial assets

– Normally, whenever we make investment, it is subjected to variety of taxes such as income tax, capital gains tax, securities transaction tax, commodities transaction tax, stamp duty etc. depending on the type of investment/transaction. (Ref: Pillar#2A-Taxation for more)

– However, in following investments, government provide some relief in the taxes. How much/when? NOTIMP.

RGESS Started in 2012	Rajiv Gandhi Equity Savings Scheme= Govt gives income tax benefit to people who invest in the share market for the first time. Discontinued by Budget-2017 (मध्यमवर्ग का नया निवेशक पहली बार शेयर बाजार में निवेश करें तो आयकर में राहत)

16.40.1 Tax relief given on (निम्न चीजो पे टैक्स में रियायत/छूट दी जाती है)

CATEGORY	Examples
Bank FD (sp.type)	• 5-Year Tax Saving Fixed Deposit (FD) with Banks
Small Savings / social security	• Public Provident Fund (PPF), Employee Provident Fund (EPF) • Sukanya Samriddhi Yojana (SSY)- Fixed bank deposit for daughter

CATEGORY	Examples
More in Pillar1D	• National Savings Certificate (NSC), Senior Citizen Savings Scheme
Pension/Insurance Pillar1D	• Unit Linked Insurance Plans (ULIPs), • National Pension System (NPS), EPFO
Share market	• Equity-Linked Savings Scheme (ELSS)
Bonds	• Tax-Free bonds by some (NOT ALL, only Some) of the Govt companies/statutory bodies such as • National Highways Authority of India (NHAI), • Indian Railway Finance Corp (IRFC), Power Finance Corp (PFC), • Housing and Urban Development Corporation (HUDCO), • India Infrastructure Finance Company Limited (IIFCL) etc.
Donations	• Election donation, PM-CARES fund (ref Pillar2), Army Welfare Fund, Zero Coupon Zero Principal (ZCZP) Bonds etc.
Location based	• Investments made from GIFT City (Gujarat). (Ref: Pillar#3A)

Above list is NOT exhaustive/complete. But we are not here for Chartered Accountant exam.

16.40.2 🍋🥵 Tax relief NOT given on

Now, if the name of an instrument is not mentioned in above list → then good chance, it is subjected to some tax for example

- Bank Savings Account pe interest income.
- Sovereign Green Bond (Yes government has NOT given any tax benefit on it, YET)
- Municipal Bonds, G-Sec, T-Bill; Shares, Company Bonds; Futures, Options, P-Notes
- Mutual Fund, REITS, InVITS, ETF.; Bitcoins and Cryptocurrency (30% Tax)
- Property, Mona-Lisa Painting, Gold-Silver etc precious metals, Diamonds, Racehorses etc.

🔠❓MCQ. [CSP23-SET-A-Q021] Consider the following statements :

- *Statement-I : Interest income from the deposits in Infrastructure Investment Trusts (InvITs) distributed to their investors is exempted from tax, but the dividend is taxable.*
- *Statement-II : InvITs are recognized as borrowers under the 'Securitization and Reconstruction of Financial Assets and Enforcement of Security Interest Act, 2002'.*

(a) Both I & II are correct & II is the correct explanation for I . (b) Both I & II are correct & II is not the correct explanation for I. (c) I is correct but II is wrong (d) I is wrong but II is correct

🔠❓MCQ. Find correct about "Inflation-Indexed Bonds (IIBs)" in India (Prelims-2022)

1. Government can reduce the coupon rates on its borrowing by way of IIBs.
2. IIBs provide protection to the investors from uncertainty regarding inflation.
3. The interest received as well as capital gains on IIBs are not taxable.
Codes: (a) 1 and 2 only (b) 2 and 3 only (c) 1 and 3 only (d) 1, 2 and 3

Next HDT: 1C3- Pillar#1C3: Orgs & Laws related to Sharemarket- SEBI, CSR etc.